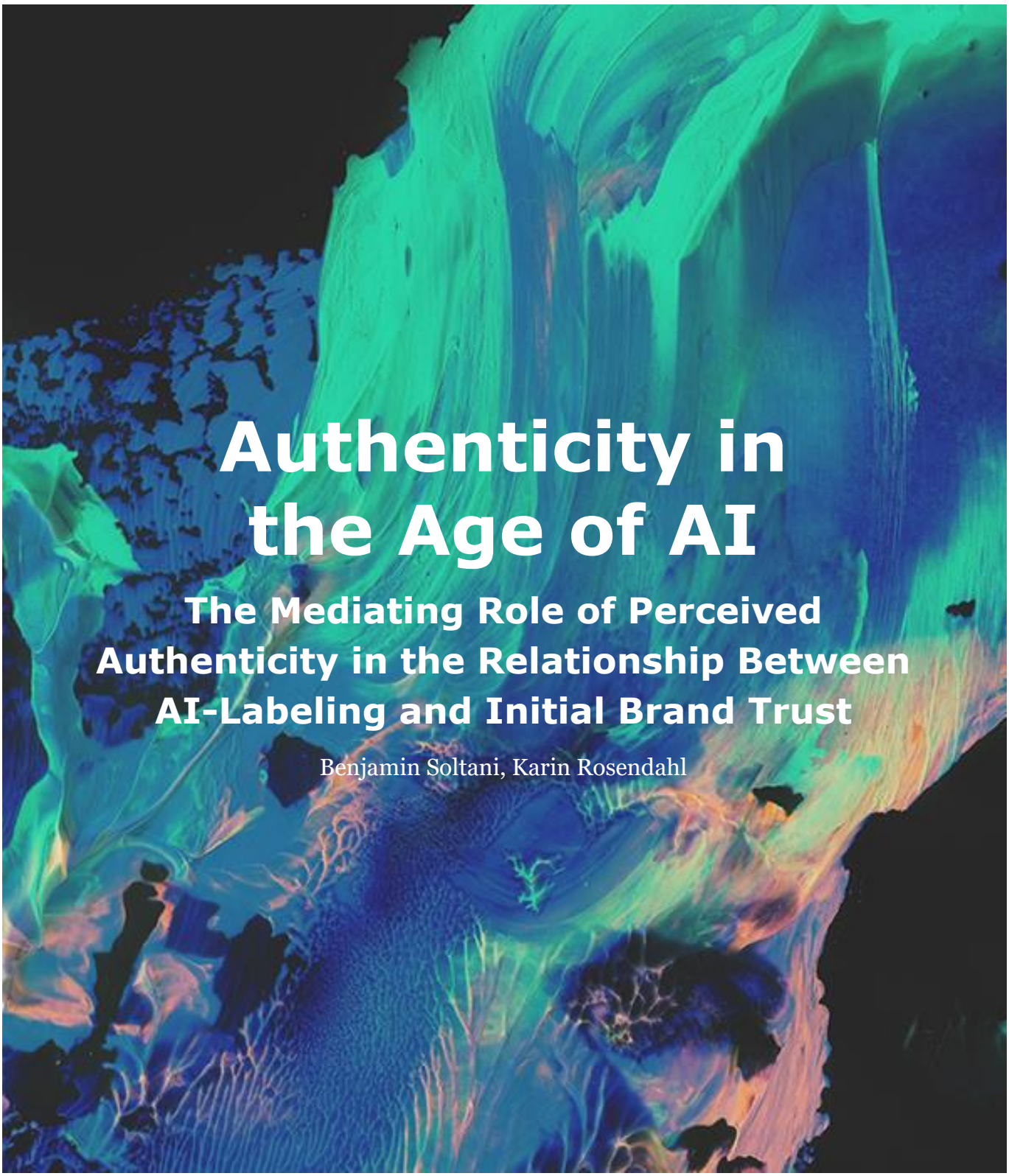
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Authenticity in the Age of AI

The Mediating Role of Perceived Authenticity in the Relationship Between AI-Labeling and Initial Brand Trust

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Abstract

The rapid development and adoption of generative artificial intelligence (AI) has transformed the modern world. In the context of business, firms are increasingly integrating AI-generated content into their marketing strategies. The disclosure of AI-usage is also trending, whether its inclusion is due to increasing regulations or voluntary choice on the organization's end. This is because the widespread usage of generative AI has sparked debates regarding transparency, meaning AI-usage disclosures are now both ethically and strategically relevant. Therefore, the purpose of this study was to examine how AI-labeled versus human-labeled marketing content influences consumers' Initial Brand Trust (IBT). Furthermore, the study also investigated whether Perceived Authenticity (PA) mediates the relationship between content labeling and IBT.

In order to investigate these topics, the study adopted a quantitative and explanatory research approach by using an experimental survey design. Specifically, two online surveys were distributed where the participants were exposed to either an AI-labeled advertisement (i.e. *"Made by AI"*) or a human-labeled advertisement (i.e. *"Made by Humans"*). The final sample consisted of exactly 120 respondents in total (meaning 60 participants per experimental condition). The collected data were then analyzed by using IBM SPSS Statistics through reliability analysis, descriptive statistics, independent-samples t-tests, Pearson correlation analysis and finally a mediation analysis by using Hayes' PROCESS Macro (Model 4).

The empirical results revealed statistically significant differences between the two conditions. The participants who were exposed to AI-labeled marketing content reported significantly lower levels of PA and IBT when compared to the participants who were exposed to the human-labeled marketing content. Moreover, the results showed a strong, positive relationship between PA and IBT. Most importantly, the mediation analysis showed that PA fully mediated the relationship between content labeling and IBT. This means that AI-labeling reduced consumers' short-term trust toward the brand because the marketing content was perceived as being less authentic. Once PA was accounted for, the direct effect of content labeling on IBT was no longer statistically significant.

These findings contribute to the growing academic literature on generative AI-usage in marketing and consumer behavior. The results identified PA as a central explanatory mechanism that underlies consumer reactions toward AI-labeled marketing content. Outside of academia, these findings have practical implications for firms and policymakers regarding AI-disclosure practices. In conclusion, the findings indicate that consumers still value perceived human involvement and authenticity when forming trust toward brands in an environment that is increasingly being driven by AI.

Keywords: Artificial Intelligence (AI), Generative AI, AI-Labeling, AI-Disclosure, AI-Generated Content, Digital Marketing, Marketing Communication, Consumer Behavior, Perceived Authenticity, Initial Brand Trust, Signaling Theory, Mediation Analysis

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Umeå University, 20th of May 2026
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1. Introduction

1.1 Background

In an era where marketing content can be generated by a single prompt, understanding how AI-labeling shapes consumer perceptions of authenticity and trust is now a matter of strategic necessity for companies.

In the field of marketing, traditional approaches are being replaced by AI. According to Verma et al., (2021, p. 3), AI can help marketers to strategize and plan their activities better, specifically through aiding them in segmentation, targeting and positioning. This highlights how AI is not just an operational tool anymore, but also a strategic one. Beyond these core functions, AI's influence is extending across many different domains of marketing activity. Kumar et al., (2024, p. 4) identified six key marketing areas where AI can be particularly transformative in, namely within AI-driven customer insights, measuring market performance, automated marketing strategies, ethical implications, enhancing customer experiences and growth opportunities with AI-implementation.

The emergence of generative AI (GAI) has further accelerated this transformation. Kshetri et al., (2024, p. 1) describe GAI as a category of AI systems used for the creation of text, images, videos, audios, and other similar content through the application of large language models. They further state that GAI has especially benefited marketing practitioners as its high-quality materials are essential when interacting and communicating with consumers. The two most frequent applications of GAI in marketing are personalization and content creation (Kshetri et al., 2024, p. 8). Personalization refers to the ability of using GAI to analyze consumer behavior or patterns and history in order to create personalized recommendations, essentially improving consumer engagement and loyalty (Kshetri et al., 2024, p. 3). GAI content creation refers to the creation of content valuable and relevant for attracting a consumer audience (Kshetri et al., 2024, p. 4). This can take its form in images, videos, texts, etc., and the goal is to, again, enhance consumer engagement due to its abilities to come up with new ideas and work effectively.

As the adoption of AI by marketers continues to accelerate, its effects on consumers become increasingly more important to understand. The potential financial and efficiency-related benefits of GAI from an organizational perspective have increased usage of GAI within marketing activities. This raises many important questions regarding the potential implications from a consumer perspective, and how their perspective may affect the brand. Lefkeli et al., (2024, p. 139) use the term "brand trust" to describe the effect on brand-related outcomes resulting from AI incorporation. Brand trust is described as the consumer's confidence in the (good) intentions of the brand, and the confidence that the brand is capable of actualizing its intentions (Lefkeli et al., 2024, p. 141). It is also described as a vital factor which determines the long-term brand loyalty of consumers. The conclusions drawn by Lefkeli et al., (2024, p. 151) stated that consumers are averse to using algorithms for tasks that can be performed by humans. They further found that the disclosure of information to AI (as opposed to humans) in brand interaction resulted in lower brand trust due to the assumption that AI shares data with a larger audience and therefore makes them feel exploited.

The usage of GAI in marketing may also enhance brand trust. Guerra-Tamez et al., (2023, p. 11) found that AI exposure, attitude towards AI, and the perceived AI accuracy fostered brand trust among Generation-Z consumers. The results suggest that the consumer's knowledge and experience of AI systems used by brands will determine the levels of brand trust, where higher levels of AI exposure leads to higher levels of brand trust. The positive attitude towards AI was also said to foster brand trust as this is determined by the consumer's perceptions of the benefits of AI (Guerra-Tamez et al., 2023, p. 3). Lastly, brand trust was further fostered when consumers perceived the AI recommendations to be accurate.

Overall, whether the consumer response towards GAI usage in marketing activities is positive or negative is highly contextual. But, as illustrated in previous research, brand trust appears to be the most apparent factor when describing the outcome of how GAI may lead to both consumer evaluation and brand implications. The outcome of brand-trust is assumed to generate financial and market success for the brand, but will be determined through the consumer's own perceptions of the brand (Lefkeli et al., 2024, p. 139).

One crucial psychological mechanism that can shape consumer evaluations is that of perceived authenticity, which refers to the consumer perception that a brand's behavior aligns with its values and norms (Yang & Hu, 2022, p. 170). One way to evaluate the authenticity is through indexical cues, described as *"physical or behavioral attributes that provide some verifiable information regarding what a brand claims to be"*, where labels of origin are an example of such cue (Yang & Hu, 2022, p. 170). Yang & Hu (2022, p. 167) found that the consumer preference in AI-powered and human-staffed customer service differed depending on the brand's personality. This relationship was further found to be mediated by brand authenticity. These findings place perceived authenticity as a crucial mechanism in explaining consumer responses to GAI in marketing.

1.2 Problematization

Generative AI usage (GAI) in marketing has generated extensive debates and new research areas. The findings within the field have produced varying results depending on whose perspective is being examined. Many of the current debates revolve around the difference in organizational and consumer perspectives where advertisers tend to be positive towards AI-enabled tools. The main reasons for their attitudes have been found to be: greater efficiency, high-order tasks, and financial gains (Pantano, 2024). The consumer attitude towards AI usage in marketing, however, tends to be far more complex and presents predictions that differ from the organizational (Kirk & Givi, 2025, p. 2). The gap between the organizational and consumer understanding of AI-usage in marketing may cause problems. As AI's effects cannot be generalized due to its multiple functions and areas, brands may forget that the benefits they experience from AI will not be a reflection of the consumer's attitude towards it. That is where the role of labeling may be used as a reflection of how the consumer may actually experience GAI usage in marketing.

Wu et al. (2025, p. 21) state that consumers play a crucial role in the advertisement process where disclosure on AI usage is important in order to examine the consumer's responses to it, and to build trust. They further state that without an understanding of the

consumer responses and the mechanisms behind them, brands risk making uninformed decisions. The authors introduce the terms machine heuristics and task objectivity, highlighting the importance of the general consumer attitude towards AI (Wu et al., 2025, p. 23). Machine heuristics refer to the positive perceptions that machines are objective and accurate rather than personal, making AI integration more suitable for objective tasks. This largely stems from the view that creativity, which is crucial in marketing, tends to be seen as a human function. Looking at an ad will activate different levels of machine heuristics and task objectivity, confirming the impact of AI disclosure (Wu et al., 2025, pp. 28-29). The results of Kirkby et al. (2023, pp. 1115-1116) however, found that AI disclosed texts from brands were not perceived as less authentic compared to human generated texts.

While AI disclosure and labeling have been researched before, the direct role of labeling itself remains underexplored. The AI versus human disclosure is primarily investigated through broader forms of communication channels where the consumer is able to integrate with the brand (Kirkby et al., 2023). Furthermore, both Kirkby et al., (2023) and Wu et al., (2025) acknowledge the possible bias in the type of marketing channel or advertisement where targeted advertisement may be seen as more "functional", potentially reducing negative reactions to AI disclosure. This makes it unclear whether the consumer responds to the AI label itself or bases their response on the integration with the company. This leads to the first gap of this thesis, namely, the isolated impact of labeling. Without any knowledge of the brand or their products, consumers may only make objective judgements based on what they see in the ad.

Brand trust is a highly researched topic in the field of advertisement and is said to be a cornerstone in the long-term success of a brand (ElSayad & Mamdouh, 2024; Feng et al., 2024; Guerra-Tamez et al., 2024). It has been expected that brand trust is a gradual process that is based on prior experience with the brand (Lefkeli et al., 2024, p. 141). In today's digital landscape the prior experience is no longer a given factor when establishing brand trust. Consumers are exposed to multiple ads from different brands every day, making it essential for brands to capture attention quickly. This raises the importance of the first impression the consumer gets from being exposed to an ad. Ngo et al., (2025, p. 14) found that consumers formed a first impression of an ad between 10 to 60 seconds after being exposed to it.

Prior research has suggested that brand trust is a gradual process that requires an existing brand-consumer relationship. Lefkeli et al. (2024, p. 152) however, found that consumers will form levels of trust by using contextual elements in an interaction which did not require any prior experience with the brand. This was found in their study on the consumer preference in information disclosure, where consumers who must disclose information to an AI agent (as opposed to human agent) have lower perceived trust for the brand (Lefkeli et al., 2024, p. 151). Guerra-Tamez (2024, p. 11), however, found that when consumers perceive the AI usage in marketing to be accurate the brand trust is not decreased. Furthermore, the chosen marketing tactics used by a trusted brand have been found to not cause much effect on the level of brand trust as found by Guerra-Tamez et al. (2024). This contradicts the findings of brand trust by Herbst et al. (2012, p. 911) who state that when a trusted brand challenges their relationship with a customer, their consequences tend to be more severe than for brands who have not built a strong customer relationship. This suggests that when a brand chooses to go against their identity, their loyal consumers will be less forgiving.

Combining the findings on first impression by Ngo et al., (2025) and brand trust (Lefkeli et al., 2024; Guerra-Tamez et al., 2024) presents a gap in the limited understanding of how AI-generated marketing affects the *initial* brand trust during the consumers' first exposure to the ad. While prior research focuses on established brands and consumer-brand interactions, there is limited research on the trust formation at the first impression stage. This gap introduces the concept of *initial brand trust* which aims to examine how GAI in marketing influences brand trust without assuming that an established consumer-brand relationship exists.

In the literature on brand trust, the concept of perceived authenticity is commonly defined as a contributor to trust (Kirk & Givi, 2025; Kirkby et al., 2023). Perceived authenticity in a marketing context refers to the moral message the brand sends out. The external impressions should align with their internal states, and their actions should be motivated with the consumer interests first, not financial (Kirk & Givi, 2025, p. 3). Kirk & Givi (2025) propose that AI usage in marketing should be considered based on the message that is to be sent out where emotional marketing is seen as a poor fit for AI. Their findings show that AI-authored emotional communication (versus human-authored) was seen as inauthentic due to AI's inability to express emotions or to feel empathy (Kirk & Givi, 2025, p. 10). The findings of Kirkby et al., (2023, p. 1115) on the other hand, did not show any evidence of lower perceived authenticity when sports content was authored by AI. The discussion on how AI generated advertisement may affect perceived authenticity and how this is connected to brand trust is fragmented, yet the concept appears to be a prerequisite of brand trust (Kirk & Givi, 2025, p. 2). The findings of Kirk & Givi (2025) and Kirkby et al., (2023) suggest that the perceived authenticity is affected by the type of product, communication channel, and level of emotional need in delivering a message which leads to the final research gap of this thesis: how the emotional states felt by consumers (perceived authenticity) may shape the outcome of initial brand trust.

What remains unclear is whether perceived authenticity mediates the relationship between AI-labeling and initial brand trust. This study addresses this gap by examining authenticity as the psychological mechanism through which content labeling shapes consumer trust.

1.3 Research Question

Main: *"How does AI-labeled versus human-labeled marketing content influence initial brand trust among consumers?"*

Secondary: *"Does perceived authenticity mediate the relationship between content labeling and initial brand trust?"*

1.4 Research Purpose

The purpose of this study is to examine how AI-labeled versus human-labeled marketing content influences consumers' initial brand trust and to investigate whether perceived authenticity mediates this relationship. More specifically, this study tests the direct and indirect effects of content labeling on consumer perceptions through using a quantitative experimental survey design.

For the remainder of this thesis, Perceived Authenticity will often be referred to as "PA" and Initial Brand Trust as "IBT" for short, unless the context requires full phrasing.

1.5 Theoretical Contribution

This study makes several theoretical contributions to the academic literature on AI-usage within marketing and consumer behavior. This study contributes by providing empirical evidence on how AI-labeling influences consumer perceptions of authenticity and trust. Much of the previous research has examined AI-generated content broadly and limited attention was given to the specific effect of explicitly labeling content as AI-generated versus human-generated. This study isolates that labeling effect and therefore addresses a gap in the literature regarding how the disclosure itself shapes consumer evaluations.

Additionally, this paper challenges or reinforces the role of authenticity in marketing content depending on whether or not a strong, positive relationship is found between PA and IBT. Previous research has generally emphasized authenticity as an important factor with regards to building good consumer relationships. This study also contributes to the growing body of research on AI-disclosure and signaling theory, since it extends signaling theory into the context of AI-labeling within digital marketing. In this study, AI-labeling (and human-labeling) is treated as an external cue which consumers may use to form inferences about the PA of the marketing content and IBT.

Finally, this study also aims to identify whether PA does function as the psychological mechanism that links AI-labeling to IBT. This would help clarify the underlying process behind any discovered relationship between content-labeling and IBT.

1.6 Practical Contribution

The topic of this paper is relevant in various practical fields. Perceived authenticity and brand trust are two crucial elements of ensuring brand success. This study aims to identify the mechanisms underlying these elements and examine how they may be affected by AI-generated marketing content. By doing this, the paper will contribute to the understanding behind consumer behavior, essential for brands in general, and particularly valuable for marketing practitioners. The insights will contribute with important factors to consider, not only when incorporating generative AI into advertisement creation, but for all marketing practices overall.

Furthermore, this paper addresses one of the most revolutionary digital tools of today: Generative AI. The relevance of this topic extends beyond individuals and organizations to society as a whole. The importance of responsible AI usage by brands has been recognized by the European Commission which has taken actions to increase AI disclosure by brands in order to protect consumers. However, the complexity and broad implications of AI may cause challenges not solved through transparency alone. By focusing on the *first impression* of an ad, this study suggests that the consumers' attitudes are likely to reflect their broader attitudes of AI. Consequently, a contribution of this thesis is that policy makers and digital platforms will benefit from receiving the consumer side of AI generated content when shaping regulations and practices surrounding AI.

Lastly, the thesis highlights the need for educational nuance in AI integration, in schools, universities and workplaces. Organizations and students have not been late in discovering the uses of AI and without proper education in all its uses and potential risks, AI integration risks causing harm to both parties. As a result, education on AI (especially generative AI) will help consumers use and treat these technologies responsibly. Additionally, highlighting the consumer-related factors of PA and IBT may encourage the development of educational initiatives that address AI from a consumer and brand perspective.

1.7 Delimitations

In order to properly answer the main and secondary research questions, this study contains many deliberate delimitations to help aid its focus. To begin with AI-labeling itself, this study examines it in a binary disclosure format (i.e. *"Made by AI"* versus *"Made by Humans"*). This means that other forms of AI used in marketing is not included. This includes (but is not limited to): chatbots, virtual influencers, algorithm-driven personalization and more. Additionally, this study uses a single-product category (in this case a coffee product) in its marketing content. This was done to ensure consistency across the experimental conditions, as caffeine is typically a neutral product for most consumers. This means that other product categories were excluded and includes (but is not limited to): luxury goods, banking, technology, beauty and skincare, streaming services and more.

The sample of this study was collected through convenience sampling via social media platforms. This obviously excludes other sampling methods and limits the geographic and demographic representativeness of the results to some extent. While the demographics of the respondents are anonymous and therefore difficult to assume, it is perhaps reasonable to suggest the findings are most applicable to similar populations and should be generalized with caution when it comes to cultures and countries that lie outside of Sweden, Scandinavia and Europe. This also includes different regulatory factors.

Another delimitation is that this study uses a quantitative experimental design that relies on self-reported survey data. This is appropriate for testing causal relationships and mediation effects but excludes other methods. This means qualitative methods such as interviews that may help understand the depth of a consumer's reasoning were not included in this study. Moreover, this paper focuses on IBT (i.e. trust formed at first

exposure) which excludes long-term brand trust. This means that topics like brand loyalty and long-term consumer-brand relationships are not studied.

1.8 Choice of Subject and Preconceptions

The authors of this thesis are Gen-Z marketing students who started university before AI became the major topic it is today. Over the course of their studies, they watched generative AI reshape the world, especially in more creative endeavors like marketing and business administration as a whole. That shift is why this topic was chosen. The authors had a deep desire to research a topic that is of theoretical and practical importance. Due to its increased popularity and usage, AI has also become a hot topic in the academic literature.

The subject of marketing was chosen for several reasons, namely how topics within it can sit between the intersection of business, technology and psychology/behavior. This makes it a good place to understand how AI-usage actually affects consumers. The specific focus on labeling/disclosures came from online content which are now increasingly putting on disclaimers regarding their AI-usage. Sometimes they state their AI-use because the regulations are demanding it, other times it is done for voluntary transparency. There has even been an increase in "*Made by Humans*" or "*No AI was used this*" disclaimers now as response to the so called *"AI slop"* that permeates the modern digital space. This tension and rise in popularity is one of the reasons why content labeling was specifically chosen for this study.

Both authors approach this research without any preconceptions and remain open to whatever the results may show. The authors are also committed to maintaining the highest standards of transparency and methodology through this paper. This means that all sources of data and references are mentioned and the methodological notes are thoroughly detailed (e.g. see *Appendix 5-12* for all the steps taken in SPSS) in order to help ensure reproducibility for other researchers.

1.9 Disposition

This thesis is structured into eight chapters. This is the final sub-chapter of Chapter 1 which gave an introduction to the study. Chapter 2 discusses the literature review, followed by the theoretical framework in Chapter 3. Chapter 4 outlines the scientific method and Chapter 5 details the research methodology. The empirical findings are presented in Chapter 6. Chapter 7 then examines these findings through the lens of the theoretical framework and in relation to the previous literature. Finally, Chapter 8 concludes the thesis by discussing the theoretical and practical contributions, along with the social and ethical contributions, assessing the quality criteria, providing recommendations for future research and giving final concluding remarks.

2. Literature Review

2.1 AI in Marketing & Generative AI

According to Russel & Norvig (2016, p. 5), the various traditional definitions of AI can be summarized into four categories:

1) Systems that *think* like *humans.*
2) Systems that *think rationally*.
3) Systems that *act* like *humans*.
4) Systems that *act rationally.*

Within these definitions, one notices that the mimicking of human behavior/thinking has often been the traditional way of defining AI. Even the term "Artificial Intelligence" itself is a misnomer, as while it is artificial, the system is not truly intelligent in the same way that a human being is. This is because AI is not sentient or conscious, it is only programmed to imitate human responses. This human-like response to users is especially prevalent in Large Language Models (LLM), which are trained to predict and generate text. LLM is a popular form of generative AI. This thesis focuses specifically on generative AI (GAI), therefore a definition and discussion on the subject is required before proceeding further into the usage of AI in marketing.

According to Kshetri et al., (2024, p. 1), GAI is a category within AI systems, used for creating text, images, videos, audios, and other similar content through the application of LLM. Due to this, the applications of GAI technology are widespread across many different industries and sectors. Feuerriegel et al., (2024, p. 123) suggests that GAI's potential to transform is especially relevant in industries that depend on innovation, creativity and the processing of knowledge. This therefore relates GAI to the realm of business and marketing in particular.

Before focusing specifically on GAI in marketing, one needs a brief overview of the usage of AI in general within marketing. Kumar et al., (2024, p. 2) highlights AI's potential to transform the domain of marketing through the automation of marketing strategies, enhancement of personalized customer insights and increasing the efficiency of operations. Furthermore, Verma et al., (2021, p. 3) found that AI can help marketers with segmentation, targeting and positioning (STP).

Now shifting the focus to only GAI and its usage in marketing, Kshetri et al., (2024, p. 1) emphasizes that GAI produces insights for personalizing content, creating marketing content that is more personally relevant than previous digital technologies, while also improving marketing efficiency and productivity, as well as improving the sales lead generation process. Moreover, Kshetri et al., (2024, p. 8) placed their attention on what they considered to be the top three marketing applications of GAI (according to a Boston Consulting Group's April 2023 survey), namely personalization, content creation and insight generation. In closing, Kshetri et al., (2024, p. 8) finds generative AI to be an effective personalization tool for marketers.

2.2 AI Content Labeling & Consumer Perception

AI has become increasingly incorporated into our daily lives and has transformed ways of communicating, targeting and predicting consumer behaviors in marketing settings. As a measure to harmonize trustworthy use of AI with minimal risks in the EU, the European Commission presented The AI Act which entered into force in 2024. The act includes obligations of AI transparency as one part of the framework (European Commission, 2024). With the increasing exposure to AI-generated content, which may not always be apparent to the consumer, the distinction between AI agents and human agents has become increasingly blurred (Wang, Sauka, & Situmeang, 2025, p. 513).

According to Wittenberg et al., (2024, p. 3), one method of responding to this challenge is to provide labelling on AI-generated content. For example, a label could state *"This content was created using Generative AI"* either next to the content or superimposed upon it. Despite the importance and popularity of content labeling, both in practice and in the research that has been done on it, the literature on the relationship between AI content labeling and market content created by generative AI is extremely limited. Therefore, the rest of this sub-chapter examines the relationship between AI in general (i.e. not confined to just generative AI) and consumer perceptions. AI usage in marketing is a widely researched area and due to its multiple possibilities to incorporate AI in marketing, it seems to be a broad topic with several areas to investigate. Despite the broad possibilities of research areas, there are two topics that seem to be included regardless of the research area: trust and authenticity.

Trust is a critical factor in influencing consumer behavioral intentions and attitudes towards a brand (Wang, Sauka, & Situmeang, 2025, p. 514). In marketing aspects trust is referred to as the buyer's trust that the brand will deliver what is promised, and how the consumer perceive the reliability and ability of the brand to do so (Rajavi, Kushwaha, & Steenkamp, 2019, p. 652; Wang, Sauka, & Situmeang, 2025, p. 514). Prior research has found a negative correlation between anthropomorphic entities and consumer emotions (Feng, Cheng, & Xie, 2024; Di Natale et al., 2023; Wang, Sauka, & Situmeang, 2025). The emotions stem from what researchers are referring to as the uncanny valley effect. This appears when feelings of familiarity generated by an anthropomorphic entity increases with its human-likeliness, until it reaches a point where the appearance is so realistic that any imperfections leads to a drop in the observer's emotional reaction, resulting in unpleasant feelings (Feng, Cheng, & Xie, 2024, p. 27; & Di Natale et al., 2023, p. 2). The unpleasant feelings of eeriness and lack of emotional response from the anthropomorphic entities have been found to negatively affect perceptions of trustworthiness and credibility (Di Natale et al., 2023, p. 7).

On the contrary, Guerra-Tamez et al (2024, p. 3) state that the level of AI exposure will affect the consumer perception on AI in marketing, where more exposure to AI leads to more positive perceptions on AI usage. They also state that it appears as if the credibility of the message source, that is transparency of AI usage in marketing, has been found to impact consumer attitude towards the brand where transparency leads to increased trust (Guerra-Tamez et al., 2024, p. 3). Further, Guerra-Tamez et al. (2023, p. 11), state that AI exposure and attitudes towards AI seems to play a significant role in consumer perception and how it may foster brand trust.

Kirk & Givi (2025, p. 12) stated that marketing skeptics might be less affected by AI usage in marketing as they may view all marketing content with skepticism. This indicates that negative attitudes towards advertisement in general will not necessarily generate more negative attitudes towards AI-generated marketing content than human-generated marketing content.

Much of the previous literature has examined AI-generated influencers, virtual agents and AI-generated text, however few studies have isolated how simple source labeling of generic marketing content influences consumer perceptions of authenticity and trust.

2.3 Initial Brand Trust

Chaudhuri & Holbrook (2001, p. 82) define brand trust as *"the willingness of the average consumer to rely on the ability of the brand to perform its stated function"*. Brand trust is often used to measure and explain the long-term success of the brand as it is said to be a prerequisite for brand loyalty and brand equity (Delgado-Ballester, 2004, p. 574; Chaudhuri & Holbrook, 2001, p. 81). This is also supported by Herbst et al (2012, p. 911) who describe brand trust as the consumer's perception that the brand is credible and competent, which further predicts loyalty and commitment to the brand. The ultimate goal of brand trust is to build long-term brand success where consumer engagement and loyalty are included. One way to engage consumers is through advertisement, which is the first impression the consumer gets of a brand, and becomes the start of the path towards trust.

First impression is described by Ngo et al., (2025, p. 2) as "the perception and the formation of the initial thoughts on a person or object that occurs spontaneously with minimal knowledge". In the context of this thesis, implicit first impressions are important. Implicit first impressions are described as initial attitudes, evoked from images or packaging, that consumers are unaware of which makes this attitude difficult to control and change over time (Ngo et al., 2025, p. 3). These impressions may be evoked in only a few seconds after an ad exposure (Ngo et al., 2025, p. 14). In marketing contexts, this further helps the consumer to form a behavioral tendency. The first impressions are based on cues, such as packaging or visual design (Ngo et al., 2025, p. 2), or possibly labeling. The first impression is also relevant for an established trusted brand where consumers tend to be more unforgiving when a brand makes a transgression (Herbst et al., 2012, p. 911).

The initial brand trust becomes a vital part of this paper as it combines the concepts of brand trust and first impression. The purpose is to investigate whether or not the label in an ad has an effect on brand trust. This means that the consumer will have to form a perception based on their first impression of the advertisement and the brand, often without any prior experience of the brand or their product. If consumers are able to form implicit first impressions only by looking at an ad, the assumption that brand trust is a gradual process may not reflect reality. Furthermore, brands that have managed to achieve trust from their consumers may lose this only by doing something that the consumer perceives as a transgression by, for instance, changing a marketing tactic. The combination between the first impression of an ad and the importance of brand trust generates what this thesis refers to as "*initial brand trust*", i.e. the perception of brand trust generated from only looking at an ad.

Literature on brand trust is not lacking, and several items and scales have been developed to measure this (Chaudhuri & Holbrook, 2001; Delgado-Ballester, 2004; Ohanian, 1999). Chaudhuri & Holbrook (2001, p. 83) develops a model of brand loyalty and brand performance where the first element is the brand trust. To measure this, the authors had four items in which they had one statement each:

(1)*"I rely on this brand"*
(2) "I trust this brand"
(3) "This is an honest brand"
(4) "This brand is safe"

The items to measure trustworthiness are also seen in Ohanian's (1999, p. 44) article where the author proposes concepts such as; reliable, trustworthy, honest, and dependable. In literature on AI and trust, a fourth item has been discovered, namely, *competence* (Guerra-Tamez et al., 2024; Herbst et al., 2012). As digitalization and AI usage in advertisement increases, the concept of trust becomes quite blurry as it can no longer be generated from common cues, such as reading somebody's body language (El Sayad & Mamdouh, 2024, p. 975). Instead, it relies heavily on the consumer's own perceptions on the reliability of the brand and their motives. Herbst et al. (2012, p. 909) state that when consumers must determine the advertisement's motives themselves, they often rely on prior experience from advertisement tactics before making a purchase decision. In a marketing context, the item competence refers to the perceived competence of the brand (Herbst et al., 2012) and the perceived competence of AI (Guerra-Tamez et al., 2024).

Measurements on brand trust often assume that the consumer has a relationship with the brand or can engage with it. In this thesis, no such assumption can be made as the purpose is to measure the initial brand trust which is based on the current advertisement tactics of social media. Initial brand trust will be measured through the respondent's perceptions of whether the brand seems *reliable, trustworthy, honest, and competent*.

2.4 Perceived Authenticity

According to the Oxford University Press. (n.d.), the word *"Authentic"* can be defined as *"Genuine; not feigned or false"*.

In the academic literature, two terms that tend to be discussed are *"Authenticity"* in a general sense and *"Brand Authenticity"* in the context of marketing. Napoli et al., (2014, p. 1091) defines the latter term in their study as *"a subjective evaluation of genuineness ascribed to a brand by consumers"*. Moreover, Napoli et al., (2014, p. 1091) measures brand authenticity through seven dimensions: brand heritage, quality commitment, craftsmanship, sincerity, nostalgia, cultural symbolism and design consistency.

The brand authenticity literature often focuses on established brands, long-term consumer relationships, brand heritage, symbolic meaning, continuity and so on, therefore making the term less applicable to short-term experimental exposure involving fictional brands. This thesis utilizes fictional brands and short-term advertisement exposure; hence consumers are unlikely to evaluate the deeper dimensions of brand authenticity (such as brand heritage, symbolism, continuity, etc.). Therefore, this study focuses on the *perceived authenticity* of the marketing content itself.

Kirk & Givi (2025, p. 3) use the term *"Perceived Authenticity"* to describe the moral or integrity meaning of authenticity. Furthermore, Kirk & Givi (2025, p. 9) measure perceived authenticity through four items (specifically through participants rating the sender of the marketing message on these four items):

(1) *"Not true to their own values" / "True to their own values"*
(2) *"Inauthentic" / "Authentic"*
(3) *"Lacking in principles" / "Highly principled"*
(4) *"Compromising their values" / "Not compromising their values"*

These four items used by Kirk & Givi (2025) are themselves adapted from the study by Napoli et al., (2014). Similarly, this thesis draws from both studies in order to define and measure perceived authenticity. To begin by defining the term, this thesis uses a modified version of the definition of brand authenticity provided by Napoli et al., (2014, p. 1091), as described earlier in this sub-chapter. Kirk & Givi (2025, p. 3) state that the consumer will evaluate the authenticity of a marketing message based on the perceived alignment between the integrity and values of the brand. The perception of unaligned values and integrity will shape the consumer's emotional response, described as moral disgust. Therefore, this thesis defines ***perceived authenticity*** as *a subjective evaluation of genuineness ascribed to a marketing message by consumers*. In the context of this paper, marketing message refers to the fictional advertisement created for the purpose of conducting the study.

In terms of measuring perceived authenticity, this thesis draws on the sincerity dimension from Napoli et al., (2014, p. 1091), the authenticity dimension from Kirk & Givi (2025, p. 9), and two new dimensions for the purposes of this study: genuineness and originality. In summary, perceived authenticity in this thesis is measured through respondents' evaluations of whether the advertisement feels *authentic, genuine, sincere* and *original*.

3. Theoretical Framework

3.1 Signaling Theory

*"**Signals**, on the other hand, are alterable and therefore potentially subject to manipulation by the job applicant. Of course, there may be costs of making these adjustments. Education, for example, is costly. We refer to these costs as signaling costs."*

- Michael Spence (Job Market Signaling, 1973, p. 358)

Signaling Theory was developed by economist Michael Spence in his 1973 seminal paper titled *"Job Market Signaling"* (which was later reprinted in Uncertainty in Economics (1978)). In his paper, Spence (1973, p. 358) discusses signals within the context of the job market, where applicants used *"signals"* (such as their education) to communicate their quality (i.e. their abilities) to potential employers under conditions of uncertainty. Since the publication of Spence's original paper in 1973, the signaling theory has expanded and grown rapidly in business literature to explain how consumers interpret and react to cues when they are evaluating products and services.

This theory is relevant because consumers are rarely ever able to completely assess the true intentions or credibility of a brand before making a purchase decision. This stems from what is known as "*information asymmetry*". Connelly et al., (2011, pp. 41-42) illustrate this by stating that decision-making processes are affected by information and can be broken down into two types: public information (i.e. available to everyone) and private information (i.e. unavailable to everyone). This therefore creates an asymmetry or imbalance of information between those that know and those that do not know, hence consumers tend to rely on external signals that can help them to reduce this information asymmetry. There are countless examples of signals. When making a purchase decision, common signals could be price, country of origin, packaging, certifications, online reviews, brand reputation and so on.

Signals have become particularly relevant in the so-called *"age of information"* (or misinformation) that is the modern world, as consumers are often flooded with large quantities of information and have limited time to digest and evaluate marketing messages in-depth. The increased popularity of AI in marketing activities has introduced new forms of signals that consumers may use in their evaluation of marketing messages. One such signal is that of content labeling, where firms and organizations explicitly state whether or not their content has been created by AI (often generative AI). Even the *"Made by Humans"* label is increasing in popularity due to the abundance of AI spam online.

In the context of this thesis, signaling theory provides a useful explanation for how consumers may respond differently to identical advertisements depending on whether they are labeled as *"Made by AI"* or *"Made by Humans"*. The choice to label the advertisement with the origin of the creator will be made to reduce the information

asymmetry. The label itself functions as the signal since the participants of this study's surveys are exposed to the same advertisement with only the label changing. Participants may use this signal to make positive or negative assumptions on the authenticity of the marketing message, which may later also influence their trust in the brand behind the advertisement. Signaling theory helps explain why AI content labeling may influence perceived authenticity and initial brand trust.

3.2 S-O-R Model

*"We propose the theory that physical or social **stimuli** in the environment directly affect the emotional state of a person, thereby influencing his behaviors in it."*

- Albert Mehrabian & James Russell (An Approach to Environmental Psychology, 1974, p. 8)

The S-O-R model stands for "*Stimulus-Organism-Response*". This framework was developed by psychologists Albert Mehrabian and James A. Russell in their 1974 paper titled "*An Approach to Environmental Psychology*". Mehrabian & Russell (1974, p. 8) proposed that physical or social stimuli affect emotional states (namely pleasure, arousal and dominance) which then mediate approach-avoidance behaviors. The term "S-O-R" itself was popularized by Donovan & Rossiter (1982) in the consumer behavior literature by using the framework outlined in Mehrabian & Russell (1974). The S-O-R framework has been applied within consumer behavior research to explain how external marketing stimuli influence internal evaluations and consumer responses.

In the context of this study, the S-O-R model provides a clear structure for understanding how AI or human content labeling may influence the perceptions of consumers and how these perceptions may lead to a behavior towards a brand. The key logic here is that consumers are frequently exposed to large amounts of information and must then rely on limited cues in order to form quick judgements. Therefore, even a subtle content label of a marketing message may function as a stimulus that can shape perception and evaluation of consumers.

In this study, the S-O-R model is applied as follows:

The Stimulus (S) – This is represented by the label attached to the digital advertisement, which indicates whether the marketing message was created by AI or by humans. Here, the label serves as an external cue that participants may use when interpreting the advertisement.

The Organism (O) – This is referring to the internal evaluation that occurs within the consumer. In the context of this study, this is conceptualized as "*Perceived Authenticity*" which captures the extent to which the advertisement is experienced as authentic, genuine, sincere and original. The consumers form subjective judgements about the nature and quality of the marketing message as they process the stimulus.

The Response (R) – This is referring to the resulting outcome. In this study, this is operationalized as *"Initial Brand Trust"* which is defined as the immediate perception of a brand's trustworthiness following the exposure to the advertisement. This captures the extent to which the brand is experienced as trustworthy, reliable, honest and competent. The response reflects how the internal evaluations of the consumer translates into broader judgements about the brand itself. The level of initial brand trust will reflect the approach-avoidance behavior resulting from the internal evaluation of the consumer.

In conclusion, this paper proposes that a sequential process in which AI (vs human) content labeling influences perceived authenticity, which then affects initial brand trust.

3.3 Summary of Theoretical Framework

The previous two sub-chapters have presented the theoretical foundations used to explain how AI (versus human) content labeling may affect consumer perceptions in digital advertising. The two theoretical perspectives that were considered most relevant for this study are signaling theory and the S-O-R model.

It begins with signaling theory, as it explains how consumers rely on external cues when direct information is limited or unavailable. In the context of digital advertising, consumers are usually unable to fully assess how marketing content was created or what intentions may exist behind the marketing message. Therefore, labels such as *"Made by AI"* or *"Made by Humans"* may function as signals that influence the consumers' interpretations of the advertisement. These signals may help shape assumptions about the authenticity of the marketing message, along with shaping assumptions on trust regarding the brand behind it.

Then it continues with the S-O-R framework, as it complements signaling theory by explaining how these external signals are transformed into internal evaluations. In this study, the content label represents the stimulus, perceived authenticity represents the organism and initial brand trust represents the response. Therefore, the S-O-R framework provides an explanation for the sequential process through which consumers interpret and respond to AI (versus human) content labeling. An illustration of this study's theoretical framework is presented in Figure 1.

The combination of signaling theory and the S-O-R model aims to serve as a complete guide to how consumers may respond to the choice brands take. The theoretical framework extends signaling theory by applying it to one of the latest marketing techniques as a signal (i.e. to generative AI-labeling). Furthermore, the possibility for brands to choose which signals they send out is decreasing as a result of increased expectations and regulations of transparency in marketing. This is where the application of the S-O-R model becomes especially important as this will extend the signaling theory by investigating how two of the major aspects in brand success (PA and IBT) are expected to be affected by the brand's choice of signaling. The question today is no longer whether brands should label their ad origin or not; the question is how the origin of the ad may affect the consumer and how this effect may generate consequences for the brand.

In conclusion, the literature review in chapter 2 identified the central concepts examined in this thesis, namely: AI content labeling, perceived authenticity and initial brand trust. The theoretical framework in chapter 3 elaborates on these aforementioned concepts by explaining the underlying mechanisms through which these relationships may occur. Based on this theoretical reasoning, the hypotheses of this study are proposed in the following sub-chapter.

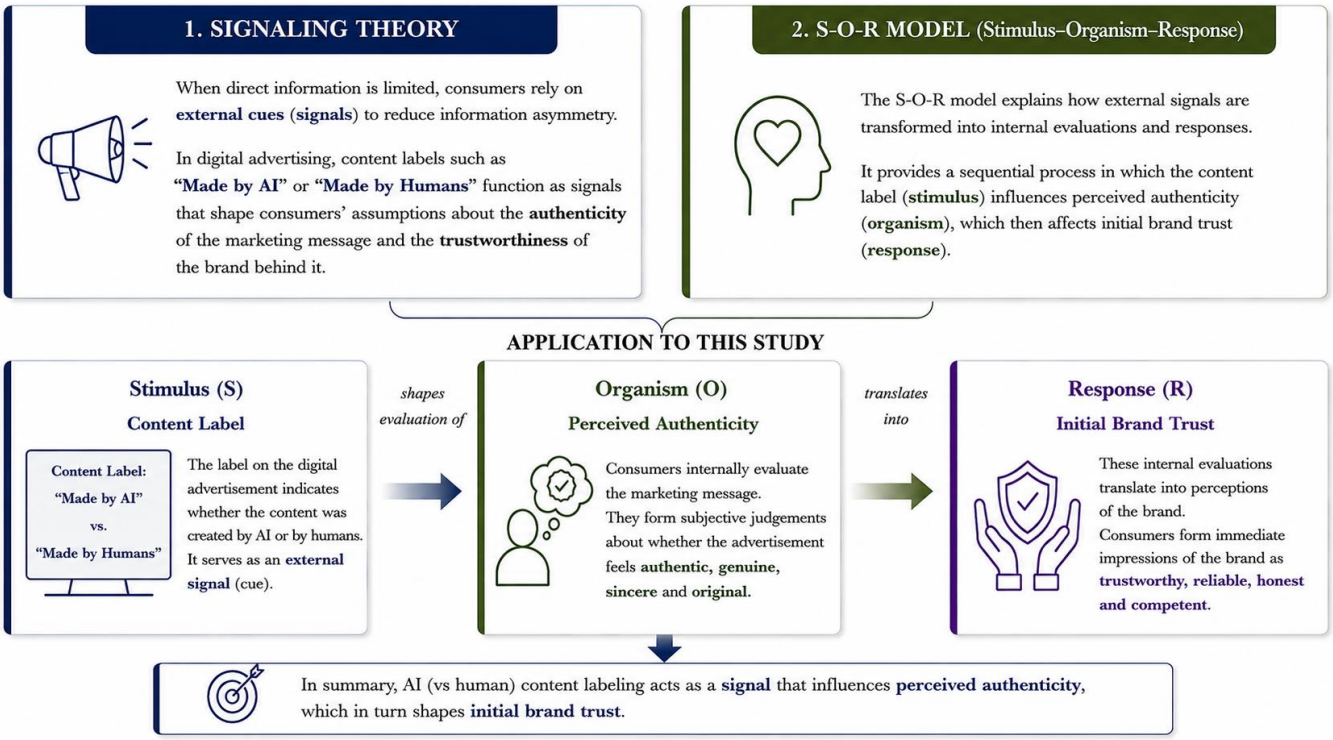


Figure 1: *The Authors' Illustration of the Theoretical Framework*

3.4 Hypotheses

H1: *AI-labeled marketing content leads to lower perceived authenticity than human-labeled marketing content.*

H2: *Perceived authenticity is positively associated with initial brand trust.*

H3: *Perceived authenticity mediates the relationship between content labeling and initial brand trust.*

H4: *AI-labeled marketing content leads to lower initial brand trust than human-labeled marketing content.*

4. Scientific Method

4.1 Research Philosophy

The philosophy behind research is a set of beliefs about knowledge, reality, and existence. As guidance in conducting scientific research, a research paradigm will serve as a framework based on people's philosophies about the world (Collis & Hussey, 2021, p. 39). Research philosophy therefore serves as the foundational framework of a study and shapes the process of gathering, analyzing, and interpreting data.

Collis & Hussey (2021, p. 40) state that there are two main research paradigms: Positivism and interpretivism. Positivists believe that social phenomena can be explained from theories and that reality exists independent from them (Collis & Hussey, 2021, p. 40). This approach is underpinned by objectivity and rigor, rather than intuitive interpretation, where explanation consists of establishing relationships between variables, and linking them to the relevant research approach. Interpretivists on the other hand believe that social reality is shaped by our perceptions (Collis & Hussey, 2021, p. 41). Investigating and interacting is assumed to have an effect on what is being researched since it will have an effect on social reality. Instead of using numerical measurements to collect data, interpretivists explore the researched phenomena by, for instance, conducting interviews (Collis & Hussey, 2021, p. 41).

The authors of this study have assumed a detached role from the studied phenomenon and rely on objective data independent from the authors. The study seeks to identify relationships based on empirical evidence rather than the meanings or interpretations behind them. This study is therefore grounded in the positivist paradigm. Collis & Hussey (2021, p. 42) state that the research paradigms of positivism and interpretivism are underpinned by philosophical assumptions that explain the researcher's view on reality, knowledge, and how knowledge is gathered. These assumptions are ontology, epistemology and axiology.

4.1.1 Ontology

Ontology is the theory of existence (Marsh & Furlong, 2002, p. 18). Bell, Bryman & Harley (2019, p. 26) describe it as *"the assumptions we make about what it means for something to exist"*. The ontological assumption is what helps the researcher understand what they seek to understand (Bell, Bryman & Harley, 2019, p. 26). To design effective research that captures reality, one must understand their ontological assumptions (Bell, Bryman & Harley, 2019, p. 26). There are two ontological positions that are based on the research paradigms of positivist and interpretivist, which will shape the understanding of social reality. Positivist research takes on an objectivist position suggesting that social phenomena are an external fact, independent of the observer and social actors (Bell, Bryman & Harley, 2019, p. 26). In contrast, interpretivist research takes a constructionism position which suggests that social phenomena are constructed and interpreted by social actors. It is therefore assumed that social phenomena are in constant revision (Bell et al., 2019, p. 27).

In this study the ontological position of objectivism is adopted. In this study it is assumed that the social phenomena of initial brand trust and perceived authenticity are objective and measurable constructs independent from the researchers' interpretations. It is further assumed that content labeling will act as a contributor shaping the social phenomena. The relationship between them can be systematically measured and identified independently of the researchers. If PA and IBT were purely subjective and constantly shifting, then measuring them with Likert scales and comparing group means would make little sense. Therefore, objectivism justifies this approach.

4.1.2 Epistemology

Epistemology is the theory of knowledge (Marsh & Furlong, 2002, p. 19). This theory follows from ontology and refers to *how* we gain knowledge (Bell, Bryman & Harley, 2019, p. 26). This means that the research paradigm and an ontological position will imply a particular epistemological position, and thus, how we gain knowledge. Positivists believe that phenomena that are measurable and observable are regarded as valid knowledge (Collis & Hussey, 2021, p. 43). This position is concerned with establishing relationships between social phenomena which thus develops explanatory and predictive models (Marsh & Furlong, 2002, p. 20). Interpretivists believe that social phenomena do not exist independently of our interpretation; it is therefore crucial to understand the interpretations since those are suggested to affect the outcomes (Marsh & Furlong, 2002, p. 26). In summary, positivists seek to explain human behavior, and interpretivists seek to understand human behavior (Bell, Bryman & Harley, 2019, p. 31).

To establish and explain a relationship between the identified constructs, this paper is grounded in the positivist epistemological position. A positivist epistemology justifies the use of hypothesis testing and statistical analyses from the experimental data which are central to this study's approach. This study is concerned with establishing and explaining the relationship between content labeling, perceived authenticity, and initial brand trust. These relationships will be established by the measurements of the phenomena.

4.1.3 Axiology

Axiological assumptions describe the role of values and beliefs behind the research process (Collis & Hussey, 2021, p. 43). Positivists regard phenomena as objective, and the research process is value-free. This means that the researcher is independent from what they are researching and considers the phenomena as objects. Collis & Hussey (2021, p. 43) state that the objective position of the research process means that the researcher believes that the researched phenomena existed before investigation, and will continue to exist after, thus being unaffected by the research activities. The interpretivists believe that the values of the researcher help determine the outcome of the research. As the interpretivist researcher tends to be involved in the data collection, their values determine what is recognized as facts and the conclusions that may be drawn from it (Collis & Hussey, 2021, p. 43).

Given that the aim of this study is to establish a relationship between social phenomena by measuring numerical data, it is grounded in the positivist axiological position. The

authors therefore strive to be free from any preconceptions and bias throughout the research process.

Complete detachment may be difficult to achieve as the research questions, and the construct selection will affect the outcome of the study. However, by following the positivist assumptions of ontology, epistemology and axiology, the authors will strive to minimize any bias and remain transparent throughout this research.

4.1.4 Critique towards the Positivist Paradigm

To conduct adequate research with good quality, it is important to address the limitations of the adopted research paradigm as that, and the philosophical assumptions grounded in it, may essentially affect the entire research process. This subchapter is therefore concerned with the description and discussions on the main criticism of the positivist paradigm identified by Collis & Hussey (2021, p. 40).

The characteristics of positivist research have been described by social scientists to limit adequate research, potentially reducing the quality of the findings (Collis & Hussey, 2021, p. 40). This stems from the difficulty of separating people from social contexts as their perceptions of their own activities are argued to be essential in order to understand a behavior or attitude. Furthermore, the complexity of social phenomena makes it difficult to capture it in one single measure, especially when assigning numerical values to the phenomena. Lastly, Collis & Hussey (2021, p. 40) state that the researcher's ability to remain objective during the research process is questioned. The researcher will, in fact, be a part of what they observe as their values and interests will be brought into the research.

This study seeks to establish a relationship between constructs and the possible effects of these relationships. The constructs referred to in this study will be measured through individuals' perceptions of the action of a brand. Relationships are bound to experience some levels of errors due to the complexity of human perceptions and responses. Quantitative results generated from numerical values are unlikely to represent all aspects behind the constructs as all aspects are impossible to include in the measurement. It is therefore crucial to identify the mechanisms that may target the most vital aspects of the constructs relevant to the study as the precision and accuracy of the constructs will be a vital part of assessing the quality of the findings. The errors and impossibility to conduct a quantitative study with perfect precision should be acknowledged by the researcher in order to create a research structure that prevents major errors in the findings.

In order to address and mitigate these limitations, this study uses validated measurement scales, reliability testing and full, transparent reporting of all of the analytical procedures.

4.2 Research Approach

In business research, researchers collect and analyze data to generate knowledge and use this data to inform theoretical understandings of the world (Bell, Bryman & Harley, 2019, p. 19). In other words, a central purpose of business research is to make a contribution to

theory. Theory is the way to explain patterns or association between phenomena (Bell, Bryman & Harley, 2019, p. 19).

Saunders et al., (2019, p. 152) describe three approaches in research that will depend on whether the research is theory testing or theory building. These approaches are: deductive, inductive, and abductive. The deductive approach is used when hypotheses are tested to gain knowledge. The hypotheses are derived from theories and prior literature in the relevant field. The literature search will further identify the conditions under which the hypotheses are expected to hold (Saunders et al., 2019, p. 154). By testing the hypotheses conclusions may be drawn where if the premises are true, the conclusion will also be (Saunders et al., 2019, p. 153). Inductive research is theory building- data is collected before a theory is developed (Saunders et al., 2019, p. 154). According to Saunders et al., (2019, p. 155) inductive data is most commonly collected through interviews in order to understand the nature of the problem before theory development. Saunders et al., (2019, p. 155) mention a third approach, abduction, which combines deduction and induction, essentially going back and forth between the approaches.

The research approach of this study is deductive which aligns with the purpose of examining whether the relationships established by theories and literature are supported empirically. The literature review has identified the theories and concepts serving as a basis for the development of the hypotheses. These hypotheses will be tested through the collection of quantitative data using questionnaires. Furthermore, the use of quantifiable data to test hypotheses aligns with the logic of deductive research by moving from theory to empirical observation.

4.3 Research Design

"Different frameworks can be used to collect and analyze data. The research design is therefore used as a framework for generating evidence for both certain criteria and the research questions connected to the thesis" (Bell, Bryman & Harley, 2019, p. 44). In addition, the research design will serve as a guide to the researcher on how they analyze their data.

According to Collis & Hussey (2021, pp. 4-5) research can be classified into four categories based on its purpose: exploratory, descriptive, explanatory, and predictive. Exploratory research aims to conduct a deeper understanding of a phenomenon, often by looking for patterns or developing ideas. Rather than finding answers, exploratory research primarily serves as a guidance for future research. Descriptive research is used when the purpose is to describe a phenomenon to provide arguments supported by empirical evidence. Explanatory research extends the descriptive research design by explaining the phenomenon rather than purely describing it (Collis & Hussey, 2021, p. 5). This may involve the explanation of the causes of a phenomenon through the testing of hypotheses against empirical evidence. Lastly, predictive research extends explanatory research by generalizing empirical patterns based on the hypothesized relationships to predict outcomes (Collis & Hussey, 2021, p. 6).

The aim of this study is to investigate the causal relationship between content labeling (AI and human) and initial brand trust. This will further be done by investigating if the level of perceived authenticity mediates the relationship between content labeling and

initial brand trust. To test these relationships a quantitative research strategy will be used, including the collection and analysis of numerical data to test if a statistical significance between the relationships exists. As this study aims to describe the phenomena and explain causal relationships and their underlying mechanisms, the design of this study is explanatory.

4.4 Research Strategy

The methodology in research is connected to the theory and ought to reflect the ontological and epistemological positions (Bell, Bryman & Harley, 2019, p. 35). The research strategy therefore refers to the researcher's approach to the study which is reflected by the ontological, epistemological, and axiological assumptions (Bell, Bryman & Harley, 2019, p. 35). The most common distinction on the types of research strategy is quantitative - qualitative research. According to Bell, Bryman & Harley (2019, p. 35), the quantitative and qualitative researcher tends to have different epistemological assumptions, hence, seeking to gain knowledge in different ways. Although the research strategies tend to follow differences in approaches and philosophical assumptions, they can be used in a combination, which is referred to as a mixed method. This could for instance be an interpretivist research using a qualitative strategy but generating and testing theories to conduct the research (Bell, Bryman & Harley, 2019, p. 36).

This thesis uses a quantitative research strategy which tends to follow from a deductive research approach, an objective view of reality and existence, and a positivist practice when gaining knowledge (Bell, Bryman & Harley, 2019, p. 35). This strategy allows the researcher to test theories and hypotheses with the use of numerical data, collected through questionnaires in this case. The benefits of this strategy are the possibility to generate large quantities of responses, providing more reliable findings. The qualitative research strategy, on the other hand, gives the researcher an opportunity to collect more nuanced, in-depth responses from participants, often through interviews.

A quantitative research strategy serves as the optimal strategy based on the positivist nature, philosophical assumptions of reality and knowledge generation, and the research purpose. It is assumed that the phenomena of interest in this study exist as objective facts that may be measured. Knowledge will be gained by the development of hypotheses based on existing literature and theories, which have been defined by the identified mechanisms. The conclusions that may be drawn will be established by the levels of significance in the causal relationship between the phenomena and the mechanisms which may only be done through a quantitative research strategy.

4.5 Literature Search

The literature used in this thesis has been found at Umeå University's library and other databases with scientific peer-reviewed articles such as EBSCO, ResearchGate, and Google Scholar. Non-scientific sources, such as dictionaries and governmental sources, have been moderately used but considered necessary to describe the meaning of a concept or a law. Given the relevance of AI usage in marketing the differing views surrounding

its use, the authors sought to collect a broad range of scientific articles presenting differing perspectives and results to reduce bias.

Due to the fast developments on Generative AI in marketing, the authors have not used articles older than five years for this topic to ensure relevancy of the findings and sources. Literature on theories, scales and concepts on the other hand have been searched with the aim of citing the original author. In cases where this was not possible, the most cited articles were used as they are more likely to build upon the works of the original author.

The literature search was done by gathering peer-reviewed articles in the relevant field such as: AI usage in marketing, Generative AI effects on perceived authenticity, Generative AI effects on consumer trust, perceived authenticity and brand trust, and more. Using Umeå University's library together with Google Scholar has provided a large database with relevant information and the possibility to check the number of citations to ensure that highly cited articles have been used primarily. To identify relevant literature key words have been used such as: AI, Generative AI, AI in marketing, perceived authenticity, brand trust, first impression marketing, and more.

4.6 Social and Ethical Considerations

"It is vital for business researchers to regard ethical considerations as an integral part of the research process and to continually revisit them throughout the study" (Bell, Bryman & Harley, 2019, p. 112). The ethical considerations in business research revolve around four main principles which are described by Bell, Bryman & Harley (2019):

(1) Avoidance of harm to participants, and non-participants, is the first consideration and refers to physical as well as mental harm, such as stress or harm to a participant's self-esteem. In other words, there should be no negative consequences for participating in the study. One important aspect in this ethical principle is the confidentiality of individuals and organizations where they should not be identifiable unless consent has been given (Bell, Bryman & Harley, 2019, p. 115). The usage of digital self-completion questionnaires meant that the authors were not present during the data collection process. The presence of the authors, or other people, may cause pressure on the participants which may generate less considerate responses. Furthermore, the authors have been considerate in the way they asked for participation of the study. Ensuring that each individual who was directly contacted were only asked to participate once and asking if they "would be willing to participate" were done to not contribute to stress or pressure. In order to ensure the avoidance of harm for non-participants, such as brands, a fictive brand was created and shown to the participants of the study. Using an ad of an existing brand and changing their ad disclosure to suit this study may generate negative opinions of the brand caused by the research. Lastly, the participants in the study have been, and will remain, anonymous for all parties involved in the research.

(2) Informed consent refers to the importance of participants knowing enough information about the research to make an informed decision about whether they wish to participate. Information about the research should be provided in an accessible form, preferably written, and participants should be given time to consider their participation (Bell, Bryman & Harley, 2019, pp. 118-119). The informed consent in the study was ensured through a written text. The text was intentionally positioned at the beginning of the

questionnaire, before any response could be done. Background information of the purpose with the questionnaire, clarification that participation is voluntary and anonymity, were included. Contact information to the authors was also provided if any concerns or questions appeared during the participation (see *Appendix 3* for details).

(3) Invasion of privacy is followed by informed consent where, although consent to participating in the research has been given, the respondents have the right to remain private and choose to withdraw from participation if they wish (Bell, Bryman & Harley, 2019, p. 123). The information text provided the respondents with clear explanation that the participation is voluntary, all responses are anonymous, and they may exit the survey at any time. The questionnaire was intentionally created to allow for a withdrawal without any explanation from the respondents.

(4) Preventing deception refers to the transparency of the research and not presenting it to be something that it is not. Deception includes not providing enough information, or wrong information, to participants making them form an inaccurate idea of the research (Bell, Bryman & Harley, 2019, p. 123). This has been avoided through the information text discussed above. However, here it is also important that the study and its findings are based on the information provided for the respondents. If for instance, the results would generate findings not applicable to the research purpose, the researcher may not revise the purpose for applicable findings. This is because the respondents have not been informed of the new research purpose, thus not given consent to participate in a new purpose.

5. Practical Methodology

5.1 Quantitative Data Collection

Using a questionnaire as a data collecting method has the goal to elicit reliable responses from a chosen group of people to understand what they think or feel, which will generate an answer to the research question. (Collis & Hussey, 2021, p. 190). The questionnaire consists of structured questions which have been developed from the theoretical assumptions and framework. This study will use digital self-completion questionnaires for data collection. According to Collis & Hussey (2021, p. 190) the self-completion questionnaires are less time-consuming and reduce the risks with confidentiality issues compared to, for instance, conducting an interview where the confidentiality of the participant must be ensured through several steps. Other benefits of this data collection are the minimized risk of researcher bias as the authors will not be present during the data collection (Bell, Bryman & Harley, 2019, p. 233). Furthermore, with an online questionnaire, a large and diverse group of people can be reached and participate, increasing the quality of the findings.

Bell, Bryman & Harley (2019, p. 234) mention disadvantages with this data collection method which must be addressed. While the authors of this thesis will aim to develop questions that are understandable for the respondents, they must also align with the phenomena being studied and the research question. The authors are not able to be present and explain certain concepts to the respondents if needed as it is a self-completion questionnaire, causing a risk of misunderstandings and in worst case, lower reliability of the results. The number of questions must also be limited and short to avoid loss of focus, resulting in a more limited coverage than if, for instance, follow-up questions could be asked. The authors of this thesis will minimize potential confusion through thorough literature search before developing hypotheses. The questions asked in the questionnaire will be short and asked in first person to minimize confusion for the respondents and boost engagement.

5.1.1 Questionnaire Construction

The questionnaires were created using Google Forms. This is an online platform used for conducting surveys in which the authors can follow the responses and results throughout the process. Even though the authors' geographical location during the research process was in Sweden, the questionnaire was made in English to increase the possibility of generating more diverse responses.

In order to compare how AI and human-labeled advertisements affect perceived authenticity (PA) and initial brand trust (IBT), two questionnaires were created: one which included an advertisement with the text *"This ad was made by AI"* and another advertisement that was labeled with the text *"This ad was made by humans"*. The items used in the questionnaire were drawn from existing scales and concepts to measure PA and IBT. Contextual questions identified from prior research were also included as they may act as contributing factors to the PA and IBT. The complete list of items is presented in Table 1 below. In order to ensure neutrality and engagement of the advertisement, the

product that was chosen to advertise was coffee. The advertisement for both questionnaires included the same pictures, only the labeling was different.

The surveys consisted of 16 questions in total where the first three questions were demographics, and the fourth question was a control question to ensure that the participants had seen the ad. There were four questions referred to PA and four questions referred to IBT. The last four questions were contextual questions regarding the participant's general opinion on AI, advertisement, frequency of AI usage, and the opinion on the advertised product (coffee). The questions were asked on a 7-point Likert scale and ranged from strongly disagree to strongly agree (see *Appendix 4* for more details).

A short introduction was included at the start of the questionnaire to allow the respondents to understand the purpose of the study and rights. The introduction included the background of the questionnaire, information regarding anonymity, approximated response time, information about confidentiality and expectations of honest responses rather than *"correct"* answers.

Table 1: *Constructs and Measures*

Theoretical Measurement	Question	Source
Demographics	*How old are you?* *What is your gender?* *What is your current employment status?*	
Control Question	*Who created the advertisement you just saw?*	
Perceived Authenticity	*This ad feels authentic* *This ad feels sincere* *This ad feels genuine* *This ad feels original*	Kirk & Givi (2025, p. 9) Napoli et al., (2014, p. 1091)
Initial Brand Trust	*This brand seems trustworthy* *This brand seems reliable* *This brand seems honest* *This brand seems competent*	Ohanian (1999, p. 44) Chaudhuri & Holbrook (2021, p. 83) Herbst et al., (2012)
Contextual Questions	*I generally have a positive attitude toward artificial intelligence (AI)* *I frequently use AI technologies in my daily life* *I generally have a positive attitude toward advertising* *I generally have a positive attitude toward coffee products*	

5.1.2 Quantitative Sampling Techniques

In quantitative research, the sampling techniques will most often be probability sampling or non-probability sampling (Bell, Bryman & Harley, 2019, p. 190). The first factor that needs to be considered is the sampling error which can be explained by an error in the sample and the population that has been selected to participate (Bell, Bryman & Harley, 2019, p. 188). The authors of this thesis have only established one criterion of the sample where the respondents must be at least 18 years old. No other criterion was established in the demographics. The authors aimed to generate at least 100 responses as the likelihood of a sampling error decreases when the response rate is high.

Probability sampling has the goal of minimizing the sampling error when the sample has been randomly selected (Bell, Bryman & Harley, 2019, p. 188). There are four types of probability sampling techniques; Simple random sample, systematic sample, stratified random sample, and multi-stage cluster sample. In a simple random sample, anyone in the defined population has an equal probability of being selected. Systematic samples are when every x person in a selected population is chosen to participate in the study. In stratified random sampling, the population is first divided into strata based on, for instance, a certain characteristic or occupation. Once the population is stratified, the researcher can continue with a simple random sample or systematic sample from each of the strata (Bell, Bryman & Harley, 2019, pp191-192). Lastly, a multi-stage cluster sample is used when the population is widely dispersed. The researcher will divide the population into groupings, referred to as clusters. Within these clusters, a random selection of people is chosen to participate in the study. This technique differs from stratified sampling as the multi-stage cluster sample means a widely dispersed population where a random number of units from the population are chosen to participate. Once this has been done, people within each cluster will be randomly selected to participate in the study (Bell, Bryman & Harley, 2019, p. 192).

Non-probability sampling refers to the sampling techniques that do not fall under the rules of probability sampling; however, they may still be as effective (Bell, Bryman & Harley, 2019. p. 197). There are two types of non-probability sampling; Convenience sample and quota sample. Convenience sampling is often used as a convenient and accessible way of collecting data. The researcher may, for instance, send out questionnaires to a chosen group of people close to them that belong to the selected population. Although the group may be a part of the studied population, they will most often not represent the entire population, making this technique convenient but risks endangering the validity of the results (Bell, Bryman & Harley, 2019, p. 198). In quota sampling, the researcher divides the population into quotas that reflect proportions of the people in different categories. The sampling of participants is not carried out randomly, as the researcher will decide the final selection of participants (Bell, Bryman & Harley, 2019, p. 199).

The sampling technique of this thesis is a non-probability convenience sample and snowball sample as participants of the study have been allowed to recruit others by sending the questionnaire further. The questionnaires have been posted on social media, printed as QR-codes, and sent through messages on different platforms for convenience. In order to ensure an equal distribution of responses, the authors distributed the questionnaire alternately between the participants. The validity and precision of the results will to a degree depend upon the sample size, meaning, the number of respondents.

This means that the researcher should aim to generate a large sample, although time constraints may limit this. When using questionnaires, there will always be a risk of non-response which further limits the possibilities of generating a sample size large enough. The risk of the sample not representing the entire population due to the authors limiting the data collection to the respondents they can reach may affect the sample representation of the population. However, the broad nature of the target population may allow for greater flexibility in sample selection as it is likely to remain applicable to the wider population.

5.1.3 The Use of Artificial Intelligence

This study adheres to the principles that were outlined within the latest version of the thesis manual of the Umeå School of Business, Economics and Statistics (USBE).

According to the USBE thesis manual (2025, p. 9), authors must clarify whether AI-tools were involved throughout the thesis process. This section is dedicated purely to this purpose. Moreover, the USBE thesis manual (2025, p. 9) states that details regarding which AI-tools and how exactly they were used must be specified, along with a justification for their inclusion. Additionally, the USBE thesis manual (2025, p. 9) states that the authors must argue how academic integrity and independence were maintained despite any AI-use .

In accordance with these guidelines, the authors of this study confirm that AI-tools were not used for writing, data analysis, idea generation or any other uses that these tools may provide when constructing a study. The sole exception to this was with the creation of the fictional advertisements used in the surveys. These two identical advertisements (that only have a different label) originate from using ChatGPT Images 2.0 based on the authors' own design specifications. Several prompts were given until the authors' vision of the coffee advertisement was realized. Then the AI and human content labels were subsequently added onto the image by the authors themselves.

This use of AI did not affect the academic integrity or independence of the research, as it was solely for the purpose of creating a visually appealing advertisement within a limited timeframe. Since the authors are not in art school, this does not violate the goals of this study. Moreover, it actually means that the AI-labeled advertisement is true to its word, while creating a degree of irony for the human-labeled one.

In conclusion, generative-AI was used for the coffee advertisement of this study (except for its labels/disclosures). Academic integrity and independence were not violated.

5.2 Quantitative Data Analysis

Different tools have been used in this paper to collect data and analyze the results. Google Forms was used to create online questionnaires and collect data where the raw data could be extracted. The data was then converted into an Excel file where the responses could be converted into dedicated numerical values in order to group the answers into specific numbers. SPSS was used to test the significance of the results, relationship between the

variables and how they may affect each other, and the mediating effects. The tests that were conducted were: reliability analysis (Cronbach's alpha), descriptive statistics, independent-samples t-tests, Pearson correlation analysis and mediation analysis using Hayes' PROCESS Macro (Model 4).

5.2.1 Cronbach's Alpha

Before defining Cronbach's Alpha, the concept of reliability must be defined. Reliability refers to the consistency of measures of a concept where internal reliability is one way to test this consistency (Bell, Bryman & Harley, 2019, p. 173). The aim of testing internal reliability is to see that there is a consistency in responses, if a certain indicator would score high, the other indicators would also score high if there is internal reliability. This correlation is shown as a coefficient which varies between 0 and 1, where 0 indicates no correlation, hence no internal reliability, and 1 indicates perfect correlation, hence perfect internal reliability (Bell, Bryman & Harley, 2019, p. 173).

Cronbach's alpha was chosen to check that the four items measuring PA and the four items measuring IBT demonstrated sufficient internal consistency before then being combined into composite variables. Cronbach's Alpha is used to test the internal reliability where the average of the calculated correlations will be shown as an Alpha coefficient and range between 0 to 1. Many correlations will not show a perfect correlation (Alpha = 1), therefore, a slightly lower level is employed as a rule of thumb for an acceptable Alpha level (Bell, Bryman & Harley, 2019, p. 173). In this study, an Alpha level of 0.7 was determined as an acceptable level and therefore shows an acceptable internal reliability.

5.2.2 Mean and Descriptive Statistics

There are different classifications to the variables that are measured depending on the categories and how the categories can be ranked. In this study, all questions except for the demographics were asked using a 7-point Likert scale that ranged from completely disagree to completely agree. This means that the variables measured can be rank ordered, however, the distance between the categories may differ, also called ordinal variables (Bell, Bryman & Harley, 2019, p. 317). The demographics, gender and employment status for instance, are formed as nominal variables as they cannot be rank ordered.

In order to analyze the variables the authors use frequency tables which provide a table with the number and percentage of people belonging to each category (Bell, Bryman & Harley, 2019, p. 318). Doing so provides an indication of the numbers and percentage of valid responses for each variable in the questionnaire, and the percentage of people belonging to each category in the variable. Measures of central tendencies are a number of statistical models which summarize large quantities of frequency distribution and describe it in one single statistics (Collis & Hussey, 2021, p. 226).

The mean is used to estimate the average of the values. The average score of the responses is generated by summarizing all values of the distribution and dividing it with the number of values. In order to measure the spread around the mean, the standard deviation is used, which is the average amount of variation around the mean. A large standard deviation

indicates a large disperse of the data values; hence, it is not a good representation of the data. Therefore, the standard deviation should be small if the data is to be well represented (Collis & Hussey, 2021, p. 232).

5.2.3 Independent-Samples T-Tests

Independent-samples t-tests were used to examine differences between the two experimental conditions (AI-labeled vs. human-labeled) on perceived authenticity and initial brand trust. The null hypothesis states that there is no difference between the groups (Collis & Hussey, 2021, p. 246). The null hypothesis can be rejected if the result is statistically significant ($p < .05$), indicating that the labeling condition has a significant effect on the dependent variable (Saunders, Lewis & Thornhill, 2009, p. 463).

In hypothesis testing, it is important to determine the significance level in order to avoid Type I and Type II errors. These errors refer to a rejection of a hypothesis when it is not to be rejected (type I) or not rejecting a hypothesis when it was to be rejected (type II). Collis & Hussey (2021, p. 237) define the significance level as *"the level of confidence that the results of the statistical analysis are not due to chance"*. Most commonly, and in this thesis, the significance level, also called probability (p), is set at a 5% confidence level. This means that if the probability-level is < 0.05, the test is significant and the null hypothesis can be rejected.

6. Data and Results

6.1 Introduction

The purpose of this chapter is to present the results of the empirical study. The objective was to examine how AI-labeled versus human-labeled marketing content influences Perceived Authenticity (PA) and Initial Brand Trust (IBT), as well as whether PA mediates the relationship between content labeling and IBT.

In order to analyze the data collected from the two surveys, this study used IBM SPSS Statistics. The analysis process included data preparation and coding, reliability analysis, descriptive statistics, independent-samples t-tests, Pearson correlation analysis and lastly a mediation analysis using the PROCESS Macro developed by Hayes (2022). The reliability tests were conducted in order to assess the internal consistency of the measurement scales before the composite variables were created for the main constructs. Afterwards, the four proposed hypotheses were tested by using inferential statistical techniques. All statistical tests were conducted using two-tailed significance testing against the null hypothesis of no difference or no relationship.

The remainder of this chapter is structured as follows: First, the data collection and processing procedures are briefly outlined, which is then followed by an overview of the characteristics of the sample. Afterwards, the reliability and descriptive statistics are presented. Next, the results of the hypothesis testing are presented and this also includes the mediation analysis. Finally, this chapter concludes with a summary of the hypotheses and their outcomes.

6.2 Data Collection and Processing

The data used for the analysis were collected through two online surveys using Google Forms. The surveys were published on April 29th, 2026 and were closed May 11th, 2026. The surveys were distributed through convenience sampling, which was done primarily through consistently sharing on various social media platforms. The two surveys were automatically closed after a total of 120 responses were obtained, which consisted of 60 respondents in the human-labeled advertisement survey and 60 respondents in the AI-labeled advertisement survey.

Once the data collection was completed, the survey responses were exported from Google Forms in CSV format, which was then converted into Microsoft Excel worksheets. The datasets from the two experimental conditions were reviewed in order to ensure that all the variables and column structures were identical in both before being merged into a single dataset within one worksheet. The two conditions (i.e. AI versus human surveys), along with the specific results of each survey were then coded according to the study codebook created for this. This essentially means that all responses to the survey questions and their conditions (i.e. which survey they belonged to) were numerically coded in order to prepare them for statistical analysis. This complete and numerical dataset was then imported into IBM SPSS Statistics V32 for analysis.

In SPSS, the variable names and headers were adjusted in order to improve readability and to also facilitate system interpretation throughout the analysis process. Afterwards, reliability analyses were conducted using Cronbach's alpha to assess the internal consistency of the measurement scales for PA and IBT. Following the satisfactory results of the reliability analyses, the composite mean variables were created for the two primary constructs (PA and IBT) using their aforementioned measurement items. These two composite variables were then also used in the remaining statistical analyses.

6.3 Demographics

The demographics of the sample are displayed below in Table 2.

Table 2: *Demographics*

AGE	***N***	***%***
18 – 29	101	84.2%
30 – 45	12	10.0%
46 – 61	4	3.3%
62+	3	2.5%
Total	120	100.0%
GENDER		
Male	51	42.5%
Female	69	57.5%
Total	120	100.0%
EMPLOYMENT STATUS		
Student	45	37.5%
Employed	40	33.3%
Both studying and working	26	21.7%
Not currently studying or working	9	7.5%
Total	120	100.0%

As can be seen in Table 2, the majority of the respondents were female (57.5%) and belonged to the youngest age bracket of 18 – 29 (84.2%), meaning Gen Z. Regarding employment status, the respondents were relatively evenly distributed between students, employed and those who were both students and employed.

6.3.1 Additional Contextual Variables

Table 3 below presents the mean scores for the four contextual questions that were included at the end of the surveys. As can be seen in the table, the attitudes toward coffee products were exactly identical across both experimental conditions. This confirms that the product category itself (coffee in this case) was perceived neutrally in both surveys. However, attitudes toward AI, frequency of AI-usage and attitudes toward advertising were all lower in the AI-labeled condition. This suggests that exposure to the AI-labeled advertisement may have influenced these responses and/or the participants of the AI-labeled survey had slightly different attitudes going in.

Table 3: *Contextual Variables*

Contextual Questions	***Human-Labeled (Mean)***	***AI-Labeled (Mean)***
I generally have a positive attitude toward artificial intelligence (AI).	3.7	2.9
I frequently use AI technologies in my daily life.	4.2	3.9
I generally have a positive attitude toward advertising.	3.6	3.2
I generally have a positive attitude toward coffee products.	5.2	5.2

6.4 Reliability Analysis

Before conducting the testing of this study's hypotheses, reliability analyses were performed in order to assess the internal consistency of the measurement scales used in this paper. Here, reliability was evaluated through using Cronbach's Alpha in IBM SPSS Statistics. The analysis included the four items measuring PA and the four items measuring IBT. According to commonly accepted guidelines (Bell, Bryman & Harley, 2019, p. 173), Cronbach's Alpha values are rated as follows: above .70 indicates acceptable reliability, above .80 indicates good reliability and above .90 indicates excellent reliability.

6.4.1 Reliability for Perceived Authenticity

The PA construct was measured using four items: authentic, sincere, genuine and original. The reliability analysis for PA produced a Cronbach's Alpha coefficient of α = .964. This result indicates excellent reliability, meaning excellent internal consistency among the four items used to measure PA.

All corrected item-total correlations exceeded the recommended threshold of .30 and they ranged from .855 to .936. This result suggests that each item contributed strongly to the overall construct. Furthermore, the "Cronbach's Alpha if Item Deleted" values showed that removing any item would not meaningfully improve PA's reliability. If the item *"This ad feels original"* was deleted, then the alpha value would slightly increase to .970. However, this slight improvement was only marginal and therefore did not justify removing the item from the scale. Table 4 presents the reliability statistics for PA.

Table 4: *Item-Total Statistics for Perceived Authenticity*

	Scale Mean if Item Deleted	**Scale Variance if Item Deleted**	**Corrected Item-Total Correlation**	**Cronbach's Alpha if Item Deleted**
This ad feels authentic.	10.84	36.689	.929	.947
This ad feels sincere.	10.96	38.074	.929	.948
This ad feels genuine.	10.98	35.798	.936	.945
This ad feels original.	11.42	36.766	.855	.970

6.4.2 Reliability for Initial Brand Trust

The IBT construct was measured using four items: trustworthy, reliable, honest and competent. The reliability analysis for IBT produced a Cronbach's Alpha coefficient of α = .947. This result indicates excellent reliability, which again means excellent internal consistency among the four items used to measure IBT.

The corrected item-total correlations ranged from .776 to .909, which again exceeds the recommended threshold of .30 and shows strong relationships between the individual items and the overall construct. Moreover, the *"Cronbach's Alpha if Item Deleted"* values showed that no item substantially reduces the reliability of IBT. If the item *"This brand*

seems honest" was deleted, then the alpha value would slightly increase to .961, however this increase was considered insufficient to justify removal. Table 5 presents the reliability statistics for IBT.

Table 5: *Item-Total Statistics for Initial Brand Trust*

	Scale Mean if Item Deleted	**Scale Variance if Item Deleted**	**Corrected Item-Total Correlation**	**Cronbach's Alpha if Item Deleted**
This brand seems trustworthy.	12.39	27.299	.906	.920
This brand seems reliable.	12.28	27.885	.909	.920
This brand seems honest.	11.93	28.843	.776	.961
This brand seems competent.	12.30	27.674	.904	.921

6.4.3 Summary of Reliability Results

In conclusion, both constructs demonstrated excellent levels of internal consistency. Their Cronbach's Alpha values far exceeded the recommended threshold of .70 and therefore the measurement scales used in this study were considered very reliable for further statistical analyses. Table 6 presents a summary of the reliability results.

Table 6: *Summary of Reliability Results*

Construct	**Cronbach's Alpha**	***N* of Items**
Perceived Authenticity	.964	4
Initial Brand Trust	.947	4

6.5 Descriptive Statistics

The descriptive statistics were calculated for the two primary constructs examined in this study: PA and IBT. The descriptive analysis included the mean, standard deviation, minimum value, maximum value and the standard error of the mean for each construct. These statistics provide an overview of the central tendencies and the variability within the dataset prior to the testing of the hypotheses. Table 7 displays the descriptive statistics for the composite variables PA_mean and IBT_mean.

Table 7: *Descriptive Statistics*

	N	**Minimum**	**Maximum**	**Mean**		**Std. Deviation**
	Statistic	Statistic	Statistic	Statistic	**Std. Error**	Statistic
PA_mean	120	1.00	7.00	3.6833	.18357	2.01093
IBT_mean	120	1.00	7.00	4.0750	.15940	1.74612

The results indicate that all of the 120 responses were valid and included in the analysis, meaning there were no missing data for the composite variables. Both of the constructs utilized the full range of the seven-point Likert scale and therefore the values ranged from 1.00 to 7.00. This suggests that the respondents made use of the entire response scale and therefore no substantial floor or ceiling effects were present.

PA produced a mean score of M = 3.68 (with SD = 2.01). This indicates that on average, the participants evaluated the advertisements slightly below the midpoint of the scale. The relatively large standard deviation indicates considerable variation in the respondents' perceptions of authenticity.

IBT produced a mean score of M = 4.08 (with SD = 1.75). This result positions the construct close to the midpoint of the scale. The responses still showed meaningful dispersion across participants, even though the variability was slightly lower compared to PA.

It should be noted that the descriptive statistics represent the aggregate means across both of the experimental conditions combined. This means that group-level comparisons (which reveal significant differences between the AI-labeled and human-labeled conditions) are presented in the following sub-chapters via the testing of the hypotheses. In conclusion, the descriptive statistics indicate that the dataset showed sufficient variability for use in further statistical analysis.

6.6 Hypothesis Testing

6.6.1 Hypothesis 1 (T-Test)

H1: *AI-labeled marketing content leads to lower perceived authenticity than human-labeled marketing content.*

In order to test Hypothesis 1, an independent-samples t-test was conducted to compare PA scores between participants exposed to AI-labeled marketing content and participants exposed to human-labeled marketing content. The grouping variable consisted of two conditions: Human-labeled content = "0"; AI-labeled content = "1". The results revealed a statistically significant difference in PA between the two groups: $t(118) = 9.12, p < .001$.

The participants who were exposed to the human-labeled ad reported substantially higher PA (M = 4.97; SD = 1.72) than the participants who were exposed to the AI-labeled ad (M = 2.40; SD = 1.36). The mean difference between the groups was 2.58 points on the 7-point Likert scale, along with a 95% confidence interval ranging from 2.02 to 3.13. In order to assess the magnitude of the difference, Cohen's d was calculated. The effect size was very large (d = 1.67; 95% CI [1.25, 2.08]), which means that the labeling condition had a substantial practical impact on PA. A summary of the independent-samples t-test results can be found in Table 8.

In conclusion, these results demonstrate that participants perceived the AI-labeled marketing content as significantly less authentic than the human-labeled marketing content. Therefore, Hypothesis 1 was supported.

Table 8: *Independent-Samples T-Test Results*

	M (Human)	**SD (Human)**	**M (AI)**	**SD (AI)**	***T*(118)**	***p***	**Cohen's *d***
PA	4.97	1.72	2.40	1.36	9.12	< .001	1.67
IBT	5.00	1.62	3.15	1.34	6.78	< .001	1.24

Note: IBT results are reported in Section 6.6.4 Hypothesis 4 (T-Test).

6.6.2 Hypothesis 2 (Correlation)

H2: *Perceived authenticity is positively associated with initial brand trust.*

In order to test Hypothesis 2, a Pearson product-moment correlation analysis was conducted to examine the relationship between PA and IBT. The analysis included the aforementioned composite variables (PA_mean and IBT_mean) across all of the 120 responses.

The results revealed a strong and statistically significant positive correlation between PA and IBT ($r = .876$, $p < .001$). This means that higher levels of PA were associated with higher levels of IBT. The opposite is also true, meaning lower levels of PA were associated with lower levels of IBT.

The strength of the relationship suggests a substantial association between the two constructs. The observed relationship can be considered very strong, according to the conventional interpretations of correlation coefficients.

In conclusion, the results support the assumption that PA plays an important role in shaping consumers' initial trust perceptions toward a brand. Therefore, Hypothesis 2 was supported.

6.6.3 Hypothesis 3 (Mediation)

H3: *Perceived authenticity mediates the relationship between content labeling and initial brand trust.*

As can be seen above, Hypothesis 3 proposed that PA mediates the relationship between content labeling and IBT. More specifically, the hypothesis suggested that AI-labeled marketing content would reduce PA, which in turn would reduce consumers' IBT.

In order to test this hypothesis, a mediation analysis was conducted using Hayes' PROCESS macro (Model 4) for IBM SPSS Statistics with 5,000 bootstrap samples and a 95% confidence interval. The content labeling condition was entered as the independent variable (X), PA as the mediator (M) and IBT as the dependent variable (Y).

The mediation model first examined the effect of content labeling on PA (path a). The result showed that AI-labeled content significantly reduced PA (b = -2.575; $t(118)$ = -9.12, $p < .001$; 95% CI [-3.13, -2.02]). This result is consistent with the findings reported under Hypothesis 1.

The second stage of the mediation model examined the relationship between PA and IBT (path b). PA significantly predicted IBT (b = 0.792, $t(117)$ = 15.71, $p < .001$, 95% CI [0.69, 0.89]). This means that higher levels of PA were associated with higher levels of IBT.

The total effect of content labeling on IBT was also significant (b = -1.842, $t(118)$ = -6.78, $p < .001$, 95% CI [-2.38, -1.30]). This means that AI-labeling reduced IBT overall. However, when PA was included in the model, the direct effect of content labeling on IBT became non-significant (b = 0.198, $t(117)$ = 0.98, p = .330, 95% CI [-0.20, 0.60]).

Most importantly, the indirect effect of content labeling on IBT through PA was statistically significant (b = -2.039, BootSE = 0.235, 95% Bootstrap CI [-2.498, -1.584]). The mediation effect was supported because the confidence interval did not include zero. A summary of the mediation analysis results is displayed in Table 9.

In conclusion, these results show that PA fully mediates the relationship between content labeling and IBT. In other words, the negative effect of AI-labeling on initial brand trust operates through the reduced perceptions of authenticity. Once PA was accounted for, the labeling condition no longer had a significant direct effect on trust. Therefore, Hypothesis 3 was supported.

Table 9: *Mediation Analysis Results (Process Model 4)*

Path	***b***	***SE***	***t***	***p***	**95% CI**
A (Condition → PA)	-2.58	0.28	-9.12	< .001	[-3.13, -2.02]
B (PA → IBT)	0.79	0.05	15.71	< .001	[0.69, 0.89]
C (Total Effect)	-1.84	0.27	-6.78	< .001	[-2.38, -1.30]
C' (Direct Effect)	0.20	0.20	0.98	.330	[-0.20, 0.60]
Indirect Effect	***b***	**BootSE**	**95% BootLLCI**	**95% BootULCI**	
PA_mean	-2.04	0.24	-2.50	-1.58	

Note: Bootstrap confidence intervals based on 5,000 samples. Condition coded as 0 = Human-labeled and 1 = AI-labeled.

6.6.4 Hypothesis 4 (T-Test)

H4: *AI-labeled marketing content leads to lower initial brand trust than human-labeled marketing content.*

In order to test Hypothesis 4, an independent-samples t-test was conducted to compare IBT scores between the participants who were exposed to the AI-labeled marketing content and the participants who were exposed to the human-labeled marketing content. The grouping variable consisted of two conditions: Human-labeled content = "0" and AI-labeled content = "1". The results revealed a statistically significant difference in IBT between the two groups: $t(118) = 6.78$, $p < .001$

The participants who were exposed to the human-labeled ad reported significantly higher levels of IBT (M = 5.00; SD = 1.62) than the participants exposed to the AI-labeled ad (M = 3.15; SD = 1.34). The mean difference between the groups was 1.84 points on the 7-point Likert scale, along with a 95% confidence interval that ranged from 1.30 to 2.38. Furthermore, Cohen's d was calculated in order to evaluate the practical significance of the effect. The effect size was large (d = 1.24; 95% CI [0.85, 1.63]). This indicates that the labeling condition had a substantial impact on participants' IBT perceptions. A summary of the independent-samples t-test results can be found in Table 8 in *6.6.1 Hypothesis 1 (T-Test)*.

In conclusion, the results suggest that AI-labeled marketing content significantly reduces IBT when compared to the human-labeled marketing content. Therefore, Hypothesis 4 was supported.

6.7 Summary of Hypotheses

This chapter presented the empirical findings of the study through reliability analyses, descriptive statistics, independent-samples t-tests, correlation analysis and mediation analysis. Overall, the results provided strong support for all four proposed hypotheses. This sub-chapter provides a summary of the results as a conclusion to Chapter 6.

First, the independent-samples t-test confirmed that AI-labeled marketing content significantly reduced PA compared to human-labeled marketing content. The participants who were exposed to the AI-labeled advertisement perceived the content as substantially less authentic and the effect size was very large. The results support the assumption that disclosure of AI-involvement negatively influences consumers' perceptions of authenticity.

Second, the Pearson correlation analysis showed a strong, positive relationship between PA and IBT. Higher perceptions of authenticity were associated with higher levels of trust toward the brand. This highlights the importance of authenticity in shaping consumers' early evaluations of trust.

Third, the mediation analysis revealed that PA significantly mediated the relationship between content labeling and IBT. The indirect effect was statistically significant and the direct effect of content labeling on IBT became non-significant after PA was included in the model. This indicates full mediation, meaning that the negative impact of AI-labeling on initial brand trust operates through the reduced perceptions of authenticity.

Finally, the independent-samples t-test for IBT confirmed that AI-labeled marketing content also significantly reduced consumers' IBT compared to human-labeled marketing content. Even though the effect was somewhat smaller than the effect that was observed for PA, the difference was still substantial and statistically significant, nonetheless.

In conclusion, the findings consistently indicate that AI-labeling negatively influences consumers' perceptions of authenticity and trust. Most importantly, the results show that authenticity serves as the central mechanism through which AI-labeling affects IBT. These results provide empirical support for the proposed theoretical framework and establish a foundation for the discussion presented in the following chapter. Table 10 summarizes the results of all the hypotheses tested in this study.

Table 10: *Summary of Hypotheses*

	Hypothesis Statement	**Results**
H1	AI-labeled marketing content leads to lower perceived authenticity than human-labeled marketing content.	*Supported*
H2	Perceived authenticity is positively associated with initial brand trust.	*Supported*
H3	Perceived authenticity mediates the relationship between content labeling and initial brand trust.	*Supported*
H4	AI-labeled marketing content leads to lower initial brand trust than human-labeled marketing content.	*Supported*

7. Analysis and Discussion

7.1 Recap

The theoretical framework, introduced in figure 1, was based on signaling theory by Michael Spence (1973) and the S-O-R model by Mehrabian & Russell (1974), and assumed that the label of an ad will act as a signal to the consumer of the intentions and quality of the brand when other information is limited. This signal aims to reduce information asymmetry by providing information necessary for the consumer to make a purchase decision (Connelly et al., 2011, p. 41). This signal will in turn act as an external stimulus which will form an emotional state experienced by the consumer. The emotional state was expected to form a response of either approach behavior, initial brand trust (IBT), or an avoidance behavior of low IBT, as suggested by the S-O-R model (Donovan & Rossiter, 1982, p. 41).

The two research questions that this study aimed to answer were:

Main: *"How does AI-labeled versus human-labeled marketing content influence initial brand trust among consumers?"*

Secondary: *"Does perceived authenticity mediate the relationship between content labeling and initial brand trust?"*

7.1.1 Generational Demographics

Before presenting the analysis of the findings it is important to acknowledge the generational demographics. The theoretical framework of this thesis was built on emotional aspects and the expected human response they elicit, which are expected to extend beyond generation-specific characteristics. However, the results in this study were mainly drawn from respondents belonging to generation Z (Gen Z) as they represent 84% of the respondents (Table 1). Prior research has identified this generation as digitally fluent as they have grown up during the shift towards a more digitally advanced world (Guerra-Tamez et al., 2024, p. 1). Their perceptions towards AI usage in marketing have been described to be less dramatic due to their experience with the digital advancements taken on by brands.

The results presented in chapter 6 provide evidence of a negative relationship between AI-labeled marketing content and IBT resulting from the reduced PA of the ad. This indicates that the AI-labeled ad results in lower IBT compared to the human-labeled ad even for Gen Z consumers. Guerra-Tamez et al. (2024, p. 11) state that Gen Z have heightened expectations of transparency and authenticity because of their digital awareness. Furthermore, the exposure and expertise in the area makes these consumers more critical and aware of the marketing tactics they are exposed to (Guerra-Tamez et al., 2024, p. 4). It cannot be denied that Gen Z's perceptions towards AI usage in marketing may be less dramatic compared to other generations. It may be concluded, however, that their perceptions did not indicate a preference in the AI-labeled ad over the human-labeled ad.

7.2 Signaling Theory and The Role of Labeling

The way brands choose to create their advertisement and essentially label it, has been assumed to act as a trigger of consumer perceptions (perceived authenticity) and brand outcomes (initial brand trust) as shown in the theoretical framework (see Figure 1). This assumption was based on Spence's (1973, p. 358) signaling theory which suggests that individuals will use signals as a way of reducing uncertainty. In business research this uncertainty is referred to as information asymmetry, i.e. the gap between the information a receiver of a message has and the information the messenger sends out (Connelly et al., 2011, p. 42). The way in which brands have the potential to reduce this asymmetry is through signals that are available for the consumer who may need the information. The labeling of the ad was used in this study as a signal to the consumers to reduce the information asymmetry in the origin of the ad: AI or human.

In line with the arguments of Connelly et al., (2011, p. 45), the choice to use signals to reduce information asymmetry is not an assurance of increased brand success, as evident in the support of H1 and H4. According to the signaling theory however, the signals brands choose to communicate will often be intended to generate positive outcomes for the brand (Connelly et al., 2011, p. 45). The results of this study show clear evidence that when a brand communicated their use of AI to generate their advertisement, the ad was perceived as less authentic as opposed to the human generated ad (see table 6). Furthermore, labeling also resulted in lower initial brand trust (see table 6). It is important to acknowledge, however, that the choice to signal, i.e. increasing transparency, may not be the reason for the difference in perceptions and outcomes. Rather the mechanisms behind the perceptions and possibly prior experience with the marketing tactic may be the actual cause of the outcome.

The results also highlight the aspect of how prior exposure to, and experience with the marketing tactic may shape the attitude towards it. Guerra-Tamez et al. (2023, p. 11) stated that the level of AI exposure is likely to determine the consumer attitudes towards brands incorporating AI. Herbst et al., (2012, p. 909) also argued that consumers may rely on their prior experience with the marketing tactic in order to determine the advertisement's motives. The respondents in both groups, AI and human, scored only slightly over the midpoint with a mean of 3.9 and 4.2 respectively in frequency of AI usage. It cannot be conclusively determined from these results whether high AI usage frequency increases or decreases PA or IBT based on the results presented in chapter 6. However, given the significant difference in PA and IBT resulting from the content labeling, even a frequent usage of AI would not be expected to change the conclusions drawn from the results, essentially contradicting the findings of Guerra-Tamez et al., (2023).

To summarize, using signaling theory as a basis of how a brand chooses to disclose their information of their marketing tactic was shown to generate significant results. It can be concluded that the information asymmetry is reduced by disclosing the origin of the ad, as seen in the difference in results between the AI vs human generated advertising. The assumption that labeling acts as a starting point for consumers to make sense of external signals when there is limited information about the brand or their product can be

confirmed. From labeling alone, it is also concluded that the consumer will establish a perception towards the ad and the brand.

7.3 The Labeling Effect on Perceived Authenticity

As evident by the results presented in Chapter 6, H1 was supported, which means that the AI-labeled ad was perceived as being less authentic than the human-labeled ad. The difference in means for the AI versus human-labeled ads was significant and is interesting for several reasons. Firstly, the product that was advertised was highly liked by a majority of the respondents from both groups, namely coffee (see Table 3 in *6.3.1 Additional Contextual Variables*). This finding contradicts many discussions in the "*functions"* of the advertisement where researchers have highlighted a possible bias in PA depending on the type of product or brand (Kirkby et al. (2023) and Ngo et al. (2025)). It has been discussed that AI-generated advertisement does not lead to lower PA when the product category has been *"functional"*, meaning, targeted towards a specific consumer group or a highly liked product (Kirkby et al., 2023, p. 1115). This is not supported in the current study where the consumers who scored high on liking coffee scored lower on PA when the ad was made by AI as opposed to humans. This is not to say that AI-generated advertisements will always be perceived to be less authentic regardless of the type of advertisement, especially since this study has not assumed any existing consumer-brand relationship, which may have an effect on the perceived authenticity.

Mehrabian & Russell (1974, p. 8) suggested in their S-O-R model that the emotional states, referred to as organisms, are affected by physical or social stimuli. This study confirms this relationship where the level of PA differed depending on the labeling of the ad. Prior scales used to measure PA included the values of the brand and whether the consumer perceived the ad to align with the brand's values (Kirk & Givi, 2025; Napoli et al., 2014), essentially measuring the PA based on the knowledge of the brand. This study measured PA through the consumer's own perceptions of the ad, without any existing relationship with the brand. The results fill the research gap of the limited research on how AI-labeled marketing affects PA in two ways; Firstly, the establishment of a significantly lower PA as a result of AI-labeled advertisement. Second, determine whether the consumer perceived the ad to be authentic, sincere, genuine, and original as the underlying mechanisms of PA towards an ad.

In conclusion, this study has confirmed a negative relationship between AI-generated marketing content and perceived authenticity. This is the result of an external stimulus (AI or human-labeling) triggering the internal states (perceived authenticity) of the consumer, making them form a judgement on the authenticity, sincerity, genuineness, and originality of the ad. The difference in PA resulting from AI and human-labeling is significant, indicating that an internal evaluation of the stimulus is occurring even without an established consumer-brand relationship, which is expected to shape further consumer behavior towards the brand.

7.4 S-O-R Model and the Mediating Role of Perceived Authenticity

As shown by the mediation analysis, the level of PA experienced from the ad did mediate the relationship between the ad labeling and IBT. Donovan & Rossiter (1982, p. 37) stated that consumers will respond with avoidance or approach behavior to an environment. According to prior research, consumers who perceive the brand communication to be authentic are more likely to trust the brand (Kirk & Givi, 2025, p. 2; Guerra-Tamez et al., 2024, p. 4). The results presented in chapter 6 fully confirm PA to mediate the relationship between content labeling and IBT. An interesting finding was that content labeling did not have a direct effect on the outcome of IBT as seen in Table 7. Only when IBT is measured through the level of PA, the effects on IBT could be predicted. Not only does the result confirm how the content label affects IBT, but also why: The lower IBT resulting from the AI-labeled ad is explained by the reduced PA. The underlying mechanisms of whether the ad was perceived to be authentic, sincere, genuine, and original was a complete predictor of how the consumers thought the brand was trustworthy, reliable, honest and competent.

The original S-O-R model found by Mehrabian & Russell (1974) suggested that the emotional states experienced in an environment will mediate approach-avoidance behaviors. The results confirmed that PA mediates the levels of IBT resulting from content-labeling. The mediation effect from PA aligns with the S-O-R model where the AI-label acts as a stimulus of the external environment, causing an internal evaluation of reduced PA, making the consumers respond with an avoidance behavior of reduced IBT if the PA of the ad is low. The results also establish the importance of brands to understand the mechanisms behind consumer responses.

In conclusion, the relationship between content labeling and initial brand trust was fully mediated through perceived authenticity, which answers the secondary research question of this thesis.

7.5 The Labeling Effect on Initial Brand Trust

The results presented in chapter 6 showed that the human-generated ad resulted in higher IBT as opposed to the AI-generated ad, supporting H4. The concept of IBT was based on existing literature on brand trust (El Sayad & Mamdouh, 2024; Guerra-Tamez et al., 2024; & Chaudhuri & Holbrook, 2001) and existing literature on first impression in advertising (Ngo et al., 2025). The results showed that labeling had a substantial effect on the level of IBT experienced by the consumer where AI-generated advertisement resulted in lower IBT. This effect, however, was proven to be mediated by the level of PA of the ad as discussed in the previous subchapter. The results fill the second research gap by explaining how AI generated marketing leads to lower IBT, which was proven to be through the PA. The results also validate the concept of initial brand trust as an established consumer-brand relationship may not be a predetermination of the brand trust.

IBT was assumed to act as a response to the emotions felt from a stimulus, as described by the S-O-R model where the response may be either approach or avoidance behavior (Mehrabian & Russell, 1974, p. 8). The ad-labeling was proven to act as a stimulus which substantially affected the consumer response where, in the case of AI-labeling, resulted in lower IBT. The application of the S-O-R model has therefore resulted in the following conclusion: The external marketing stimuli of labeling did act as a cue for the consumers which influenced the internal evaluation of how the consumers perceived the ad to be authentic. This evaluation will shape the level of trust in the brand.

It is important to bring up the mechanism of honesty and the act of transparency which has been a reoccurring concept in literature on brand trust (Chaudhuri & Holbrook, 2001, p. 83; Guerra-Tamez et al., 2023, p. 11). Guerra-Tamez et al., (2023, p. 11) stated that brands should prioritize AI integration and transparency in order to build and maintain brand trust. The results of this study did not find any evidence of this being true as the AI-labeled ad resulted in lower IBT compared to the human-generated ad. The consumers who saw the AI generated ad trusted the brand *less* than the consumers who saw the human-generated ad. This implies a difference in the emotional reaction from the marketing stimuli rather than the attitude towards brand transparency. This means that the results may have been different if AI-labeling were compared to a non-disclosed ad for instance, where the IBT may have been higher for the disclosed ad.

To summarize, the results presented in chapter 6 provide evidence of the negative correlation between the AI-labeled ad and IBT. This result was mediated through the lower PA of the AI-labeled ad which leads to a response of lower IBT compared to if the ad was made by a human. This further confirms the effects of how the internal evaluation of the consumer happens only from the content labeling.

Lastly, the research question of this thesis was *"How does AI-labeled versus human-labeled marketing content influence initial brand trust among consumers?"*. The answer to this question has been presented by the results in chapter 6 and the analysis in chapter 7. To conclude, AI-labeled versus human-labeled marketing content influences initial brand trust through the mediating role of perceived authenticity of the ad, where AI-labeled marketing content resulted in lower initial brand trust than human-labeled marketing content.

8. Conclusion

8.1 Concluding Remarks

The purpose of this study was to answer its main research question *"How does AI-labeled versus human-labeled marketing content influence initial brand trust among consumers?"*, as well as its secondary research question *"Does perceived authenticity mediate the relationship between content labeling and initial brand trust?"*. In order to answer these two research questions, this study adopted a quantitative and explanatory approach by using an experimental survey design. This means that two online surveys were distributed where the participants were exposed to either the AI-labeled advertisement or human-labeled advertisement. Afterwards, the collected data were analyzed using IBM SPSS Statistics through reliability analysis, descriptive statistics, independent-samples t-tests, correlation analysis and finally a mediation analysis using Hayes' PROCESS Macro.

The empirical findings of this study show that AI-labeled marketing content significantly reduced both PA and IBT when compared to the human-labeled marketing content. The participants who were exposed to the AI-labeled content consistently evaluated the advertisement as less authentic and also reported lower levels of trust toward the brand. Furthermore, the results show a strong, positive relationship between PA and IBT. This means that authenticity plays an important role in shaping consumers' early perceptions of trust towards a brand. Most importantly of all, the mediation analysis revealed that PA fully mediated the relationship between content labeling and IBT. This means that the negative impact of AI-labeling on IBT occurred because the AI-labeled advertisement reduced perceptions of authenticity. Once PA was accounted for, the direct effect of labeling condition on IBT was no longer statistically significant. The empirical findings suggest that authenticity functions as the central mechanism through which AI-labeling influences consumers' perceptions of trust.

In conclusion, the authors of this study have deemed that the main and secondary research questions have been answered, due to these aforementioned empirical findings of Chapter 6.

8.2 Theoretical Contributions

There are several important theoretical contributions made by this study. Broadly speaking, this study contributes to the body of academic research regarding the use of AI in marketing and consumer behavior. The contribution made here is the empirical evidence regarding how AI-labeling influences consumers' perception of authenticity and trust. More specifically, this study contributes by identifying PA as a central explanatory mechanism through which AI-labeling affects IBT.

Furthermore, the results of this study contribute to the literature on authenticity in marketing content and communication. Previous research has often emphasized authenticity as an important factor that influences the attitudes of consumers, their engagement and trust toward brands. The results of this study reinforce these assumptions

and theories by showing a strong, positive relationship between PA and IBT. Therefore, the results support the theoretical arguments regarding authenticity as an important mechanism to building trust with consumers in marketing.

Additionally, this study also contributes by expanding the academic literature on AI-generated marketing content and AI-disclosure. Previous research have explored consumers' attitudes toward AI-generated communication/content, but few studies have been conducted on AI-labeling / AI-disclosure in marketing contexts. The results of this study provide evidence that explicit AI-labeling can negatively influence consumer perceptions. More specifically, the results suggest that consumers may associate AI-generated content (that is clearly labeled as *"Made by AI"*) with lower levels of authenticity, sincerity, genuineness and originality. This in turn influences consumers' perceptions of trust toward the brand behind the marketing message.

On the topic of labeling and disclosers, the findings of this study also contribute to signaling theory by showing that AI-disclosure (and human-disclosure) functions as an external cue that consumers can use to form conscious or subconscious inferences about the PA of the marketing message, which shapes their IBT.

Moreover, this study contributes to the existing theory through the mediation analysis, which results showed that PA fully mediated the relationship between content-labeling and IBT. This result is especially important, because it moves beyond simply identifying whether or not AI-labeling negatively affects trust. Instead, the results explain the how and the why of the effect's occurrence. As stated previously, the results mean that the negative influence of AI-labeling on IBT is not direct in itself, but instead operates through consumers' reduced PA. This is an important nuance worth highlighting, as it shows one psychological mechanism (PA in this case) that underlies consumers' evaluations of marketing content.

This study has also established the relevance of signaling theory in combination with the S-O-R model in modern marketing research to understand the importance of consumer evaluations and brand outcomes. The findings show that the consumer's response towards an ad (IBT) will be the effect of the signal (label) and the internal evaluation of the consumer (PA). This study has provided four key mechanisms behind the internal evaluations of an ad (authentic, genuine, sincere and original) and four behind the response towards the brand (trustworthy, reliable, honest and competent). The findings have therefore contributed to the development of two major constructs in modern marketing (PA and IBT) to act as an organism and response. Modern marketing research may be less concerned with whether brands should signal or not and whether external cues generate a certain perception or attitude. Instead, the focus may shift towards research on the *"how"* and *"why"* these signals can generate a certain outcome, which may be explained by the combined signaling theory and S-O-R model.

Lastly, the combined theories have contributed to highlighting the importance that the signal itself does not provide enough evidence of positive or negative outcomes. This is especially important in research on transparency and honesty, where brand transparency is mostly assumed to generate positive consumer perceptions. The findings in this study complicate this assumption as the transparency of GAI-origin was perceived to be less honest than human-origin although both ads clearly provided a disclosure of the origin.

Instead, the findings show that the outcome was dependent on the mediating role of PA which shows that the signal itself should not be the only predictor of brand outcome.

8.3 Practical Contributions

The practical contributions of this study are relevant to a wide array of different actors. To begin with organizations and firms themselves, the findings suggest that they must carefully consider how AI-generated content is disclosed to their consumers. The analysis results showed that AI-labeling significantly reduced both PA and IBT. As AI adoption increases, transparency regarding AI-usage is becoming more ethically desirable or even required by law in certain contexts. However, it appears that the disclosure itself may negatively influence consumer perceptions. This means that organizations and firms that use AI technology in their marketing communications must recognize that AI-labeling is not necessarily perceived as *"neutral"* by their consumers and therefore may influence how their messages are evaluated.

Moreover, the results emphasized the importance of authenticity in marketing communication, as PA fully mediated the relationship between content labeling and IBT. These results suggest that authenticity functions as the key mechanism that influences consumers' responses to trust. This is relevant to marketers, as it means that using AI-generated marketing content should actively focus on preserving authenticity cues within their marketing communications. For example, the brands may benefit from combining AI-assisted content creation with human oversight, personalization and emotionally engaging messaging in order to reduce perceptions of artificiality. Another benefit may come from testing different phrasings of the AI-disclosure itself (if the law leaves room for that), for example *"Made by AI"* sounds different from *"Co-Created with AI"* or "*Made with AI assistance"*. One takes full credit and places all the attention on AI, while the others reframe AI-use as one of the many tools that were used by the human marketing team. If the phrasing of the AI-disclosure is not already legally fixed, then experimentation of different phrasings is recommended.

Additionally, the results may hold relevance to marketing education. This is because AI tools are becoming increasingly popular in marketing practice and so business schools and marketing programs should ensure that the students are trained in the psychological effects of AI-use and their disclosures on consumers' perceptions of the brand, as solely focusing on the technical aspects of AI tools is not enough.

Furthermore, the findings could also be of help to people who work with branding and PR. The findings showed that excessive reliance on AI-generated marketing content may create potential risks for brand trust. This is particularly crucial to consider during the early stages of consumer-brand relationships. IBT is especially important for new or unfamiliar brand and so careful evaluation must be given to how AI-generated content (and its disclosure) is implemented in their marketing messages. One strategy may be to focus on "Human-created" advertising. In an era that is rapidly becoming saturated with so called *"AI slop"*, perhaps the best strategy for newer brands is to stand out by boldly disclosing that their marketing messages were *"Made by Humans"* or "*Human-Made"*. This obviously may mean more work on their end, but the resulting benefits to their brand reputation and consumers' perceptions of authenticity may warrant such a strategy.

Finally, the results may also have implications for policymakers and regulators regarding AI-disclosure practices in digital marketing. Transparency is obviously a critical element from an ethical perspective. However, the results show that direct AI-disclosure may simultaneously influence consumers' trust perceptions in negative ways. This means that regulators may need to carefully search for the optimal balance between clear transparency requirements and the unintended psychological drawbacks from having clear disclosures on AI-use with regards to consumers. If the regulations mean fixed, direct phrasings of disclosures with no room for context (i.e. involving the use of AI with no detail on how and where it was used in the marketing message), then firms and organizations may be incentivized to switch back to traditional methods with no AI-usage at all. This assumes that the negative impact on their brand trust and authenticity is substantial enough to justify such a strategy. Perhaps the best approach taken by regulators and policymakers would be one of clear transparency with much room for context. For example, whether the entire advertisement created by AI or only an image or voice-over. This then also leaves room for how the disclosures are phrased and presented in the marketing message, rather than a binary label of whether or not they used AI at all.

8.4 Quality Criteria

Collis & Hussey (2021, p. 294) highlight the importance of summarizing the limitations of the research in terms of the reliability, validity and generalizability of the findings. These limitations may have occurred during the research process and their potential impact on the findings should therefore be discussed.

Collis & Hussey (2021, p. 27) states that the measurement is an essential part in a positivist study. It is therefore crucial that the researchers apply rigor to ensure that the research data is specific and precise (Collis & Hussey, 2021, p. 47). The quality of a study will be enhanced through high data integrity and results currency. Positivist studies tend to be higher in data integrity, which refers to the characteristics that affect errors and bias of the results. High results currency refers to the generalizability of the results which tends to be higher in interpretivist studies due to contextual relevance across several areas in the research process and results. It is important to note here that even though both the data integrity and results currency should be desired, it is likely that one of them must be sacrificed in order to achieve the other (Collis & Hussey, 2021, p. 47).

The authors of this thesis have valued strict rigor and transparency throughout the research process and data collection with the desire to extend existing literature in the research field and future research. The following subchapters will therefore be dedicated to reviewing the limitations of the study in terms of reliability, validity and generalizability.

8.4.1 Reliability

Collis & Hussey (2021, p. 47) describes the reliability as *"the accuracy and precision of the measurement and the absence of differences if the research were repeated"*. In order for the research to be reliable, the results should be the same if the study was replicated.

This is essential in a positivist study due to the usage of numerical data to draw conclusions of a population.

Several steps have been taken in order to ensure the reliability of this study. The scales used in the questionnaire were developed from established measurement scales and concepts from existing literature related to constructs and contextual variables. Two stimuli were developed (AI-labeled and human-labeled ad) and incorporated into one questionnaire each to enhance comparability between the data. Furthermore, the internal reliability of the PA and IBT was analyzed using multi-item scales evaluated through Cronbach's alpha, which indicated acceptable consistency across the items. The effects remained significant across all tests where independent sample t-tests confirmed the significance of the relationship between content-labeling and PA, and content-labeling and IBT. PROCESS Macro analysis supported the mediating effect of PA on the relationship between content-labeling and IBT, indicating precision and accuracy of the constructs and measurement tools.

In conclusion, a replication of the study using the same research design is likely to yield the same results. However, there are some limitations that may affect the replicability of this study. Usage of convenience sampling may generate different results across different populations. A change in stimuli used in the questionnaire may further generate different perceptions towards the ad and, essentially, the brand. The replicability of the study is enhanced through the structured research design where participants completed identical questionnaires but were exposed to one of the two stimuli. The use of clearly defined constructs and statistical procedures allows a replication of the study to generate the same results if the methods outlined in this study are followed.

8.4.2 Validity

"Validity refers to the extent to which a test measures what the researcher wants it to measure and the results reflect the phenomena under study" (Collis & Hussey, 2021, p. 48). Furthermore, the validity of the research will be undermined by errors, poor samples, and inaccurate measurements.

The most common way of assessing the validity of the research is through face validity and construct validity. Face validity refers to the assurance that the measurements used actually measured what they are supposed to measure (Collis & Hussey, 2021, p. 48). The measurements used to support the proposed effects of PA and IBT resulting from content-labeling were established by extensive literature review, identifying the underlying mechanisms of PA and IBT. The identified mechanisms were turned into questionnaire items, ensuring the relevance and appropriateness of the measurements to capture the constructs.

All phenomena are not directly observable, which may generate problems with the findings and conclusions drawn from it. Instead, an observable phenomenon may be explained by factors affecting this, known as theoretical constructs. It is important that the usage of theoretical constructs demonstrates that the observations and findings can be explained by the constructs (Collis & Hussey, 2021, p. 48). This study used a questionnaire to measure PA and IBT and the results were converted into numerical data. As both PA and IBT are contextual and determined by the respondent's individual

perceptions, it is likely that there are other factors explaining the outcomes of the perceptions. The application of signaling theory and the S-O-R model provided a theoretical foundation explaining the relationships between content labeling, PA, and IBT, and how the relationship may generate an outcome.

Collis & Hussey (2021, p. 48) states that positivist studies may generate results high in reliability but low in validity. It is therefore important to address the limitations on the validity in this study, mainly the construct validity. The mechanisms used to measure the constructs may be extended or interpreted differently if another methodology were to be used. Many factors that affect an individual's emotional state may not be observable but may appear if, for instance, a respondent is able to reflect in an in-depth interview. The general validity of this study, however, is high as a result of the accuracy in the measurements used, and the relevance of the theoretical foundation.

8.4.3 Generalizability

Generalizability refers to the accuracy in how the research findings may be extended to other cases or settings (Collis & Hussey, 2021, p. 48). In a positivist study, the researcher should aim to select a sample with characteristics that are also reflected in the population from which the sample has been selected.

Collis & Hussey (2021, p. 47) stated that it is likely that there will be a trade-off between data integrity and results currency. Positivist studies tend to prioritize data integrity to reduce errors and bias in their findings, which may only be achieved from sacrificing generalizability. That being said, the generalizability of the findings of this study has been shaped by several choices. The sample size was considered to increase the likelihood of drawing generalizable conclusions from the findings. A minimum of 100 responses was considered to be necessary, and the final sample consisted of 120 participants. The authors did not specify a target population or conditions of the sample selection, resulting in a rather diverse sample in terms of age and occupation. This may limit the generalizability of the findings as the absence of a defined population may reduce the precision of how the sample can be considered representative of the population. At the same time, a diverse sample may generate findings applicable to a broader population. Furthermore, a broader applicability of the findings beyond the sample may be generated through the application of theories and measures not being limited to a specific population.

8.5 Social and Ethical Contributions

The purpose of this sub-chapter is to discuss the societal and ethical implications of the research findings. The discussion is centered around different stakeholders and perspectives, which means that this sub-chapter is quite long compared to the rest of the chapter. However, it is necessary to clearly discuss the relevant implications and since artificial intelligence (AI) is still a largely recent phenomenon, there is much ongoing debate surrounding its ethical and societal aspects.

The findings of this study contribute to these discussions in several ways. To begin with the big picture of it all, the context needs to be discussed first. There are many questions

regarding transparency, authenticity, trust and consumer protection as AI-generated content continues to become more common in advertising, social media marketing and digital branding. The findings of this study contributes to these discussions by empirically showing that the labeling of marketing content as AI-generated significantly reduces both Perceived Authenticity (PA) and Initial Brand Trust (IBT) among consumers. More specifically, the findings showed that PA fully mediates the relationship between AI-labeling and IBT. This means that the reduction in trust essentially occurs because the content is perceived as less authentic.

From a societal perspective, these findings highlight the ever-growing importance of transparency within digital communication. Everyday consumers are increasingly exposed to AI-generated content in their daily lives, often without even fully understanding when or how AI was used. The findings of this study suggests that transparency regarding AI-usage does matter to consumers, because the participants responded differently depending on whether the content was labeled as *"Made by AI"* or *"Made by Humans"*. These findings contribute to the broader societal debates regarding informed consumer choice and digital transparency. The findings indicate that consumers still attach substantial value to perceived human involvement in communication, particularly in contexts that involve brands and building trust.

At the same time however, the findings also reveal a potential ethical dilemma for organizations and marketing teams. On one hand, firms may clearly benefit from using AI-generated marketing content due to its efficiency, scalability and cost-effectiveness. This is because AI allows firms to produce large quantities of content more quickly and at a relatively lower cost, which can create competitive advantages if they use it more effectively than others. On the other hand, the findings of this study reveals that openly and directly disclosing the use of AI (i.e. *"Made by AI"*) may negatively influence consumers' perceptions of authenticity and trust. This therefore creates an obvious tension between ethical transparency on one hand and effective marketing communication on the other.

In a broader sense, it becomes another traditional dilemma between ethics and profits. Whether or not business practitioners and academics want to admit it, firms are profit-maximizers at the end of the day. This means that firms are generally amoral and any attempts at environmental or social sustainability may be more about following trends or appealing to certain consumer segments rather than some deep ethical awakening. This is not to make any moral judgements on the nature of firms and their relationships with consumers, but to further illustrate the tension between ethical transparency and strategic business incentives in this case. Firms may face pressure to balance transparency regarding AI-usage (whether done voluntarily or legally required) with concerns regarding potential negative reactions by consumers.

This dilemma becomes especially relevant with regards to the current societal debates between policymakers, regulators and technology companies that surround disclosure and labeling requirements for AI-generated content. The central topic of debate here seems to be of whether consumers have a right to know when content has been created or assisted by using AI technologies.

The findings of this study provide empirical support for the argument that AI-disclosure is meaningful to consumers and can influence their perception and decision-making

processes. From this perspective, transparent AI-labeling may be ethically desirable because it supports the autonomy of consumers and allows for informed judgement, even if it potentially reduces the short-term marketing effectiveness (as this study analyzed IBT and not long-term brand trust).

However, the findings also suggest that organizations should avoid interpreting the results of this study as evidence that AI itself is inherently unethical or incapable of supporting marketing communication. The results simply indicate that consumers may currently associate AI-generated content with lower authenticity and therefore lower trust. This perception may be in part due to the broader societal uncertainty that currently surrounds AI technologies, including concerns regarding misinformation, manipulation, automation, reduced human involvement and even unemployment. Perhaps as AI technologies continue to evolve and become more normalized within society, these consumer perceptions may change over time into something that is more neutral or even positive. The key takeaway here is that the negative effects identified in this study should not necessarily be interpreted as permanent or universal.

Another important societal implication that is relevant to this discussion is the broader relationship between AI-generated communication and consumer trust in digital environments. Trust clearly plays an important role within modern digital economies, especially in online commerce and social media marketing where consumers interact with brands without any physical contact. If consumers increasingly perceive AI-generated communication as being less authentic, then the widespread adoption of AI-generated marketing could contribute to a broader erosion of trust within digital environments. This could eventually even influence how consumers evaluate online information and advertising in general outside of its digital domain.

From the perspective of consumers, the findings raise important ethical questions regarding the emotional influence in AI-assisted marketing. This is because marketing communication often aims to create emotional connections with consumers and authenticity is often used as a strategic tool for establishing these connections. If AI-generated content is perceived as less authentic, then organizations may attempt to design AI systems that imitate human authenticity more convincingly in order to maintain and increase consumer trust. This therefore raises ethical questions regarding whether consumers can always distinguish between human communication and simulated authenticity generated by AI technologies.

Moreover, the findings are relevant from the perspectives of organizations and marketers themselves. The results suggest that firms should not just focus on the technological capabilities of AI, but also on how its usage influences consumer perceptions of authenticity and trust. Firms that rely heavily on AI-generated marketing content may therefore need to consider strategies for maintaining authenticity and trust. As briefly mentioned in sub-chapter *8.3 Practical Contributions*, the specific phrasing and presentation of the AI-disclosure itself may yield different responses (if the regulations allow room for detail and flexibility). For example, *"Made by AI"* sounds different from *"Co-Created with AI"* or "*Made with AI assistance"*, as one takes complete credit and focuses all the attention on AI, while the others reframe AI-use as one of many tools was used by a human marketing team.

In addition, the findings contribute to the ethical discussion regarding responsibility and accountability in AI-generated communication. For example, when marketing content is created by or heavily assisted by AI, the questions that may arise are regarding who is ultimately responsible for the communication (e.g. regarding its content, tone, persuasive effects and so on). Firms and organizations still remain responsible for their communications and how said communications may affect consumers.

This study also contributes to the ongoing societal discussions concerning the future role of human creativity and labor within marketing industries. Concerns have been raised regarding the potential replacement of creative work done by humans, as AI technologies become increasingly capable of producing human-like content. This applies to other industries too and more broadly to any creative endeavor and its place in the future. The findings of this study indicate that consumers still respond more positively to content perceived as human-generated, at least in the context of authenticity and trust. As previously mentioned in sub-chapter *8.3 Practical Contributions*, perhaps a viable strategy now is to stand out by boldly disclosing that any content, including marketing content, were *"Made by Humans"* or "*Human-Made"*. This may suggest that human involvement continues to hold value even in spite of the popularity of generative AI.

At the same time, it is important to acknowledge that different stakeholders may interpret the societal implications of AI-generated marketing content differently. Some consumers may highly prioritize transparency, honesty and authenticity, while others may simply just want their product/service without making any moral judgments from their end or seeing any moral pretentions from the firm's end. Some organizations may focus more strongly on efficiency, innovation and fostering a competitive advantage, while others may prioritize ethics, social and environmental sustainability. Regulators may prioritize consumer protection and ethical standards, while technology firms and developers may emphasize innovation and rapid technological progress. The findings of this study therefore relates to multiple stakeholder perspectives and the broader societal debates surrounding AI.

In conclusion, marketing communication is not just a commercial activity. It is a form of communication that shapes the perceptions of consumers and therefore relates to their relationships and experiences of brands. The findings of this study suggest that consumers continue to value authenticity and perceived human involvement when forming trust towards brands. The increased usage of AI raises important questions regarding how society defines authenticity, trust and human connection in environments which are becoming increasingly digitalized and automated. This study contributes to the ongoing discussions and debates surrounding AI-usage in marketing communications by showing how AI-labeling currently influences the perceptions of consumers regarding authenticity and trust.

8.6 Suggestions for Future Research

In general, future research should go beyond all the delimitations of this study. This sub-chapter provides ten clear suggestions for future research.

The first suggestion is regarding demographic groups and cultural contexts. Future research should examine whether the findings identified in this study remain consistent

across different demographics and cultures. The majority of the respondents in this study belonged to the 18 – 29 age category and were therefore primarily members of Gen Z. How AI-generated marketing content is perceived may be influenced by technological familiarity. Younger consumers like Gen Z are referred to as *"digital natives"* and so may have a different reaction to AI than older generations that are unfamiliar with such technology like Baby Boomers for example. Therefore, future studies could investigate whether older age groups respond differently to AI-labeling in terms of authenticity and trust.

Moreover, cross-cultural studies could also examine whether the responses toward AI-labeling differ across cultures, countries or regions. The authors of this study are based in Sweden, and while it is difficult to confirm/assume how many of the respondents were Swedish/European, it is reasonable to suggest that future studies could consider having a deeper focus outside of Sweden, Scandinavia and even the European continent for a more different sample. This may be interesting considering the varying levels of technological adoption and general attitudes towards AI that may be present in drastically different environments.

The second suggestion for future research is to investigate additional moderating variables that may influence the relationship between AI-labeling, PA and IBT. This study primarily focused on the mediating role of PA and intentionally examined a relatively direct and parsimonious mediation model. Future research could directly investigate these factors for example: pre-existing attitudes toward AI, frequency of AI-usage, technological literacy, skepticism towards advertising and more. Perhaps consumers who frequently use AI in their daily lives may potentially respond differently toward AI-labelling than consumers with more negative or skeptical attitudes towards AI.

The third suggestion for future research is to examine whether the effects identified in this study differ depending on the product category, industry or type of brand (e.g. luxurious vs economical brands). This study used a coffee product in its marketing content; therefore future studies can look at other products or services. Perhaps consumer perceptions may vary depending on the context. For example, an AI-generated advertisement with clear AI-labelling may be more acceptable within technological industries, while the role of authenticity becomes more important within industries associated with creativity or emotional connection. A few ideas here for future research regarding product/service categories would be fashion, streaming service, luxury goods, entertainment and banking.

The fourth suggestion is to explore different forms and ways of AI-disclosure in future research. This study examined a direct distinction between AI-labeled and human-labeled marketing content. Depending on the legal environment and branding, the organizations may communicate any AI-usage differently. This means different ways of presenting the disclosure with different levels of transparency. Therefore, future research could investigate whether subtle, partial or full AI-disclosures produce different effects on perceptions of authenticity and trust. Also, examining whether different label phrasings (e.g. *"Made with AI", "Co-created with AI", "AI-assisted"*) produce different results in consumer perception. Future research could also examine to what extent the results may vary depending on the level of human involvement (such as whether the marketing message is fully created by AI, or only an image for an advertisement, or voice-over for a commercial, etc.).

The fifth suggestion is for future research to analyze longitudinal effects and evolving societal attitudes towards AI-generated marketing content. AI itself is still a relatively new phenomenon and so societal and consumer perceptions may change as its usage becomes more normalized. This means that the negative effects identified within this study may potentially weaken or even perhaps reverse over time. Therefore, longitudinal studies could investigate whether repeated exposure to and normalization of AI-generated marketing content leads to changes of consumer perceptions. This kind of research could provide insights into whether the current consumer skepticism toward AI-usage reflects a temporary uncertainty or is representative of long-term attitudes.

The sixth suggestion for future research is to use alternative methodological approaches than the ones conducted in this study, as using a quantitative experimental design using self-reported survey data was this study's primary approach. This approach was appropriate for testing causal relationships and mediation effects. Therefore, future research could use qualitative approaches such as interviews. This kind of research could provide insights into why exactly consumers perceive AI-generated marketing content as less authentic. Overall, qualitative methods may help the research to paint a clearer picture of the emotional, psychological and cognitive aspects that may underly the consumers' reactions to AI-labeled content.

The seventh suggestion for future research is to use alternative sampling techniques. This study relied primarily on convenience sampling distributed through social media platforms, which may limit the generalizability of the findings (this partly relates back to the first suggestion on different demographics and cultures). The overall sample size of this study was sufficient for statistical analysis, but another suggestion here would be for future studies to use larger samples in order to improve the external validity and generalizability of the results.

The eighth suggestion is to examine additional outcome variables beyond PA and IBT. This study focused specifically on authenticity and trust due to their theoretical relevance. AI-generated and labeled marketing messages may also influence other variables. A few ideas would be to consider examining: purchase intentions, brand attitudes, perceived credibility, emotional engagement, consumer satisfaction, customer loyalty and more.

The ninth suggestion is for future research to examine different types of AI-generated and labeled marketing content. This study used a static image of a coffee advertisement. Examples of other avenues worth examining are voiceovers, virtual influencers and videos generated by AI. Therefore, future studies can investigate whether consumer perceptions differ across different types of AI-generated marketing content and its labelling effects. Perhaps certain formats may produce stronger effects on authenticity and trust than others.

The tenth and final suggestion for future research is to deeply examine the broader ethical implications of AI-usage in marketing. There are still plenty of questions that remain regarding transparency, manipulation, misinformation and more. Even potential mass unemployment and future societal effects of the death of human creativity and its AI replacement is a dramatic but plausible scenario and is therefore worth investigating in the context of marketing and consumer behavior. For example, future studies can explore what the ethical boundaries surrounding AI-generated content and content-labelling are

according to consumer perceptions. Moreover, future research can deeply investigate what implications mandatory disclosure regulations can have on firms, organizations and marketing teams and their future strategies with using generative AI.

In conclusion, the findings of this study provide a strong foundation for future research. This study demonstrated that AI-labeling damages trust because it first reduces how authentic the content is perceived to be. This study showed that AI-labeled marketing content significantly reduced both perceived authenticity and initial brand trust when compared to human-labeled marketing content. This invites plenty of research concerning generative AI, content-labelling, authenticity and trust. Given the rapid development and popularity of AI technologies, shifting and evolving societal attitudes toward AI, and increasing AI regulations, this area of marketing research will continue to develop significantly in the upcoming years.

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Appendix 1: Advertisement (Human-Labelled)



Appendix 2: Advertisement (AI-Labelled)



Appendix 3: Contact Card & Consent

UMEÅ UNIVERSITY

Consumer Perceptions of Digital Advertising

Welcome to our survey!

We are two master's students at Umeå University conducting research on how consumers perceive digital advertising content.

The survey takes approximately 3-5 minutes to complete and consists of viewing a short advertisement followed by a few questions regarding your impressions. There are no right or wrong answers. We are simply interested in your honest opinions.

All responses are anonymous and confidential. The results will only be used for academic purposes. Participation is voluntary and you may exit the survey at any time.

If you have any questions about the study, feel free to contact us at:
karo0108@student.umu.se or *beso0032@ad.umu.se*.

By proceeding, you consent to participate in this study.

Thank you for your time and participation!

- Karin & Benjamin

Appendix 4: Survey Questions

How old are you? *

- ◯ 18 - 29
- ◯ 30 - 45
- ◯ 46 - 61
- ◯ 62+

What is your gender? *

- ◯ Male
- ◯ Female

What is your current employment status? *

- ◯ Student
- ◯ Employed
- ◯ Both studying and working
- ◯ Not currently studying or working

Who created the advertisement you just saw? *

- ◯ Artificial Intelligence (AI)
- ◯ Human
- ◯ I don't remember / Not sure

Please rate your agreement/disagreement with the following statements about the advertisement you just saw.

This ad feels authentic. *

	1	2	3	4	5	6	7	
Strongly Disagree	◯	◯	◯	◯	◯	◯	◯	Strongly Agree

This ad feels sincere. *

	1	2	3	4	5	6	7	
Strongly Disagree	◯	◯	◯	◯	◯	◯	◯	Strongly Agree

This ad feels genuine. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

This ad feels original. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

This brand seems trustworthy. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

This brand seems reliable. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

This brand seems honest. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

This brand seems competent. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

I generally have a positive attitude toward artificial intelligence (AI). *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

I frequently use AI technologies in my daily life. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

I generally have a positive attitude toward advertising. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

I generally have a positive attitude toward coffee products. *

	1	2	3	4	5	6	7	
Strongly Disagree	○	○	○	○	○	○	○	Strongly Agree

Appendix 5: SPSS – Data Coding

1. Automatically closed the Surveys after 120 responses (i.e. 60 responses each).
2. Downloaded IBM SPSS Statistics Subscription Trial for Microsoft Windows 64-bit
3. Downloaded Surveys from Google Forms and converted them from Microsoft Excel Comma Separated Values File (.csv) to Microsoft Excel Worksheet (.xlsx).
4. Formatted the spreadsheets for better readability.
5. Added a column at the end of the spreadsheets titled "condition", where 1 = AI and 0 = Human. This is the **Independent Variable (IV).**
6. Checked that the columns in both files are identical and in the same order.
7. Combined the Excel spreadsheets into one and kept copies for backup.
8. Checked that the columns and rows are the same again.
9. **Coded Q1 (Age).**
10. **Coded Q2 (Gender).**
11. **Coded Q3 (Employment Status).**
12. **Coded Q4 (Advertisement).**
13. Q5 – Q16 were already coded using Likert Scales (1 = Strongly Disagree . . . 7 = Strongly Agree).
14. Imported Excel file into SPSS. Everything is identical and in the same order.
15. Renamed the 17 variables in SPSS for improved readability and also added variable labels in Variable View to all of them (in order to save me from constantly cross-referencing the codebook while interpreting results).

Appendix 6: SPSS – Reliability Analysis

17. Reliability Test for Perceived Authenticity (4 items): **Cronbach's Alpha = .964**
18. Reliability Test for Initial Brand Trust (4 items): **Cronbach's Alpha = .947**
19. **Created the composite variables** (the mean scores for each construct): Transform → Compute Variable.
20. PA_mean = (AuthenticPA + SincerePA + GenuinePA + OriginalPA) / 4
21. IBT_mean = (TrustworthyIBT + ReliableIBT + HonestIBT + CompetentIBT) / 4

Appendix 7: SPSS – Descriptive Statistics

22. **DESCRIPTIVE STATISTICS**: → Descriptive Statistics → Descriptives. Added PA_mean and IBT_mean. Ticked these in the Options: "Mean", "Std. deviation", "Minimum", "Maximum" and "S.E. mean" (i.e. Std. Error of Mean).

Appendix 8: SPSS – Demographics

23. **DEMOGRAPHICS**: → Descriptive Statistics → Frequencies. Added Age, Gender and Employment Status. Ticked these in the Options: "Bar Charts" and "Create APA style tables" to save time.

Appendix 9: SPSS – Independent Samples T-test, SPSS (H1)

24. **INDEPENDENT SAMPLES T-TEST**: Analyze → Compare Means and Proportions → Independent-Samples T Test. Added these: Test Variable = PA_mean. Grouping Variable = condition. Then defined "Group 1: 0" (i.e. human survey) and "Group 2: 1" (i.e. AI survey). Result... **H1:** *AI-labeled marketing content leads to lower perceived authenticity than human-labeled marketing content.* TRUE.

Appendix 10: SPSS – Independent Samples T-test, SPSS (H4)

25. **INDEPENDENT SAMPLES T-TEST**: Same method, but now the Test Variable = IBT_mean. Results... **H4:** *AI-labeled marketing content leads to lower initial brand trust than human-labeled marketing content.* TRUE.

Appendix 11: SPSS – Correlation (H2)

26. **CORRELATION**: Analyze → Correlate → Bivariate. Added these: PA_mean and IBT_mean. Ticked these in the Options: "Pearson", "Two-tailed", "Means and standard deviations". Results... **H2:** *Perceived authenticity positively influences initial brand trust.* TRUE.

Appendix 12: SPSS – Mediation, PROCESS Macro (H3)

27. **MEDIATION**: Using PROCESS Macro by Andrew Hayes. Downloaded PROCESS v5.0 for SPSS (link: https://haskayne.ucalgary.ca/CCRAM/resource-hub). Then in SPSS: Extensions → Install Local Extension Bundle -> process.spe (from the download). Successfully installed. Now: Analyze → Regression → PROCESS v5.0 by Andrew Hayes.
28. Renamed "Condition" to "Condi" in the Variable View, since PROCESS v5.0 has an 8-character limit for any variables.
29. **MEDIATION**: Settings: X variable = Condi; Y variable = IBT_mean; M = PA_mean (← M means Mediator); Model = 4; Confidence intervals = 95; Output decimal places = 4; Standard errors = OLS; W = blank (primary moderator); Z = blank (secondary moderator); COV = blank (covariates); Number of bootstrap samples = 5000; Seed = blank; Confidence interval method = percentile. Lastly, also ticked "Bootstrap inference for model coefficients", "Descriptives and variable correlations", "Total effect of X", "Model diagnostics and assumptions" and the rest were left unticked in the Options. Results... **H3:** *Perceived authenticity mediates the relationship between content labeling and initial brand trust.* TRUE.



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